

Introduction to depreciation regime [¶13-010]

[¶13-010]

[Click to open document in a browser](#)

The depreciation regime allows a deduction for the cost of a capital asset. That deduction is a portion of the cost of the asset over its life calculated at a rate prescribed for the asset. Where an asset has no cost, it may be attributed with a market value.

The concept of depreciation involves some deterioration of an asset. A depreciation loss is unlikely to occur merely because the asset in question cannot be employed on a profitable basis. In *Para Handkerchief and Textiles (1964) Ltd v C of IR* (1992) 14 NZTC 9,125, the High Court confirmed that no depreciation allowance was available for a sauna and pool complex that was operated at a loss for 7 months before being sold. The assets had not become useless. Their income-producing capabilities had been affected by the business failure of their owner. At the same time, the High Court noted that some assets could quickly become useless because of rapid technological change, and that depreciation for them might be appropriate.

A deduction is allowed to the extent that a depreciation loss is incurred in deriving assessable income, excluded income or a combination of the 2. A deduction is also allowed to the extent that the depreciation loss is incurred in the course of carrying on a business for the purpose of deriving those kinds of income. A depreciation loss is treated as having been incurred in the income year in which it is calculated.

It is explained in s [EE 1\(1\)](#) of the Income Tax Act 2007 (IT07) that the provisions of subpart [EE](#) provide for the calculation of a depreciation loss that is potentially allowed as a deduction. Those provisions also provide for the quantification of depreciation recovery income that may arise on the disposal of depreciable property.

Very broadly, depreciation is an annual deduction calculated by applying the rates of depreciation as published by the Commissioner to the cost, or the reducing cost, of the depreciable property. Those rates are set out in CCH, *New Zealand Depreciation Rates*. A depreciation loss ceases to be available when the annual depreciation loss reduces the cost of the asset to nil.

It is possible to elect that an asset is not depreciable property. On doing so, a deduction for the property's depreciation loss is extinguished and cannot be revived.

Depreciation loss

The following features must be present before a person will incur a depreciation loss for an income year:

- # the person owns property
- # the property is depreciable property
- # the property is used, or is available for use, by the person in the income year, and
- # the depreciation loss is calculated under subpart [EE](#).

A depreciation loss is calculated on a monthly basis. The depreciation loss reflects the number of months in the income year in which the depreciable property is used or is available for use. Generally, the rates of depreciation published by the Commissioner are applied for the appropriate number of months to the adjusted tax value of the depreciable property. Those rates have been set on the basis of the Commissioner's assessment of the estimated useful life of the property. As an alternative, an application may be made to the Commissioner for the adoption of a special rate for specific property. Whether the depreciation loss as calculated is allowed as a deduction depends on whether the circumstances satisfy the requirements of the general permission. The general permission requires that the property assists with the generation of assessable income.

Subject to exceptions for buildings and petroleum assets, no depreciation loss is calculated in the income year in which depreciable property is disposed of. For that income year, it is necessary to ascertain whether the disposal gives rise to depreciation recovery income. A calculation of depreciation recovery income may result in income or in a further depreciation loss, depending on values.

The capital limitation does not apply to an amount of depreciation loss merely because the item of property is itself of a capital nature.

Depreciation recovery income

An early disposal of the asset for more than its then adjusted tax value creates an item of depreciation recovery income. Income is imputed on the footing that the profitable sale indicates that previous depreciation has been too generous. The profitable sale shows that, in the result, an incorrect depreciation loss has been incurred in previous income years. There is rectification through the recognition of depreciation recovery income.

If the calculation of depreciation recovery income reveals a loss, a further deduction for that loss is allowed. The loss shows that the depreciation loss of earlier income years was too conservative. No deduction for a loss of this kind is allowed for buildings and petroleum assets.

Law: IT07 ss [DA 1](#), [DA 4](#), [EE 1](#)

Last reviewed on 31 December 2025

Ownership of depreciable property [¶13-014]

[¶13-014]

[Click to open document in a browser](#)

The notion of the ownership of depreciable property is defined in s [EE 2](#) to mean legal or equitable ownership. If ownership of the property is shared with other persons, each joint owner is attributed with the ownership of that person's interest in the depreciable property. This treatment applies, for example, to depreciable property owned by the partners of a partnership.

Reservation of title

A buyer of depreciable property who does not have title may still be treated as the owner of the property by s [EE 3](#). A buyer who enters into an unconditional contract to purchase goods, but whose title to the goods does not pass until the purchase price has been paid in full, is treated as the owner of the goods for depreciation purposes from the later of the time the contract is entered into and the time possession is taken. The buyer will cease to be treated as the owner if the seller subsequently repossesses the goods.

Example:

Fruity Ltd is a fruit juice manufacturer. On 1 June 20X4, the company entered into a contract to purchase a new juice machine for \$21,000. Payment was made by 3 equal monthly instalments starting on the date of delivery. The contract also stated that no title would pass to Fruity Ltd until all payments had been received by the seller. Delivery of the machine was made on 1 September 20X4. Fruity Ltd would like to know how the purchase is to be treated for tax purposes.

Fruity Ltd can claim a depreciation loss for the machine from the time it took delivery on 1 September 20X4. Assuming the diminishing value (DV) method is adopted, the depreciation loss for the 20X4–X5 income year is \$1,593 ($13.0\% \times 21,000 \times 7/12$).

If the depreciable property is repossessed, the buyer is deemed to have disposed of the asset at cost, less the net amount already paid to the seller.

Example:

Home Security Ltd enters into an agreement to buy electronic equipment under a reservation of title contract but later defaults, and the equipment is repossessed. The terms were:

	\$
Purchase price	10,000
Amount paid by Home Security Ltd	5,000
Asset repossessed and the seller refunds	3,000
Net payment for the equipment	2,000

Home Security Ltd is deemed to have sold the asset for \$8,000, and, therefore, the depreciation recovery income is calculated on the basis of a deemed sale price of \$8,000.

The seller of the equipment is unable to claim a depreciation loss for the period during which Home Security Ltd was treated as the owner of it.

Leases

Under an operating lease, a lessor's ownership of a lease asset is not disturbed, so that the lessor remains the owner for depreciation purposes. Under the finance lease and hire purchase regimes, only the lessee is allowed a deduction for a depreciation loss on the lease asset, even though legally they may not own the asset.

Lessees' improvements

Issues concerning the ownership of leasehold improvements most commonly arise in the context of a lease of land. This is because under common law any structure affixed to land becomes part of the land owned by the lessor, even though the lessee may have paid for the cost of the works. For example, a finance company was not able to claim a depreciation loss for machinery and plant it paid to have installed in council flats. Upon the plant and machinery being affixed to the land, it ceased to be equipment "belonging to" the financier (*Melluish (HMIT) v BMI (No 3) Ltd* [1995] BTC 381).

A lessee of a power plant was not the owner of the plant entitled to claim depreciation, even though the lessee held an option to purchase the power plant (*Bellinz Pty Ltd v FC of T* 98 ATC 4634).

A large body of case law has developed on the topic of whether improvements are fixtures that are part of the land. A show home may be regarded as a fixture rather than a chattel (*Lockwood Buildings Ltd v Trust Bank Canterbury Ltd* (1994) 2 NZ ConvC 191,957; [1995] 1 NZLR 22). The floating jetties attached to piles at a marina have been held to be land (*Auckland City Council v Ports of Auckland Ltd* [2000] 3 NZLR 614).

Contrary to common law, under s [EE 4](#), a lessee of land may be treated as the owner of any improvements or fixtures that the lessee has added to the land during the term of the lease. The expenditure incurred by the lessee becomes eligible for a deduction as a depreciation loss in the hands of the lessee in the ordinary way.

Any structures added to the land by a lessee are treated as not being owned by the lessor or a subsequent purchaser from the lessor (s [EE 5](#)). Should the lessee subsequently assign the lessee's interest in the lease to another person, and the other person pays the lessee for any fixtures or improvements that the lessee has added, the other person is treated as the owner of the additions. That other person could be the lessor, so that that party may become entitled to a deduction for a depreciation loss following payment to the lessee for the improvements.

Example:

Mary operates a flower and gift shop from leased premises. During April 20X4, Mary upgraded her shop by replacing old light fittings (cost \$10,000), purchasing some ornamental loose furniture (cost \$5,000) and adding a large painted shop sign (cost \$1,000). Mary would like to know how the costs incurred on the upgrade will be treated for tax purposes.

The items are treated as Mary's, and not the landlord's, depreciable property. This enables Mary to capitalise and depreciate the costs. Assuming the DV method is adopted, the depreciation loss for the shop upgrade in the 20X4–X5 income year is:

		\$
Light fittings	$20\% \times 10,000 \times 12/12$	2,000
Loose furniture	$20\% \times 5,000 \times 12/12$	1,000
Shop sign	$10\% \times 1,000 \times 12/12$	100
Total depreciation claim		3,100

(Note: the depreciation rates are an example only.)

Law: IT07 ss [EE 2–EE 5](#), [EE 45\(9\)](#), [HG 2](#)

Last reviewed on 31 December 2025

Depreciable property [¶13-034]

[¶13-034]

[Click to open document in a browser](#)

Subject to certain exceptions, depreciable property is defined in s [EE 6](#) to mean property that, in normal circumstances, might reasonably be expected to decline in value while it is used, or is available to be used, for deriving assessable income or in carrying on a business for deriving assessable income, or property when it is used or available for use in deriving exempt income and it is used in performing research and development (R&D) activities.

Depreciable property can be either tangible property or intangible property. Depreciable intangible property comprises a range of intangible property rights that are expressly listed in [Sch 14 \(¶13-440\)](#). It also includes utilities distribution assets, which are items of property that are used to distribute utilities (eg electricity, gas, water and telecommunications).

Property

Property is every type of right that is recognised by law — any interest or thing that is legally capable of ownership and has a value. The Commissioner's view is that property needs to be able to be defined and identified, have a degree of permanence or stability and be able to be transferred (*Tax Information Bulletin* [¶1512-101 Vol 15, No 12](#), December 2003 at 21).

Property neither includes knowledge (*Commr of Stamp Duties (NSW) v JV (Crows Nest) Pty Ltd* 86 ATC 4740) nor a concept such as the ability to conduct a business (*Manrell v The Queen* 2003 DTC 5225). However, property can include a water diversion licence entitling the holder to draw water from a local river for irrigation purposes (*Australian Rice Holdings P/L v Commr of State Revenue (Vic)* 2002 ATC 4052).

For depreciation purposes, the term “property” is defined in s [YA 1](#) to include resource consents granted in or after the 1996–97 tax year.

Identify an item of depreciable property

Interpretation statement, [IS 25/03](#), “Income tax – identifying the relevant item of property for depreciation purposes” provides guidance on how to identify the relevant item of property, particular in complex situations where it may be unclear whether an item is a separate item of property or part of another existing item or property. The Commissioner's view is the following factors indicate the item is an item of property in its own right:

- # The item is physically distinct from a wider asset of which the item may be considered part of.
- # The item is functionally complete (to some degree).
- # The item varies the function of another item.

Further, the following factors may indicate that an item is not an item of property in its own right:

- # There is a physical connection between the item with other items.
- # The item part of an integrated system that is designed to function as a whole system.
- # The item is a necessary part to complete some other item.

The item also contains a number of practical examples that demonstrate how the above indicators assist with identifying the relevant item of depreciable property.

Property that is not depreciable property

Some property is specifically excluded by s [EE 7](#) from being depreciable property. The following types of property are not depreciable property:

- # land other than depreciable intangible property, although buildings, fixtures and the land improvements listed in [Sch 13](#) continue to be eligible for treatment as depreciable property
- # a lease of land with a perpetual right of renewal
- # trading stock
- # livestock subject to the valuation regime in subpart [EC](#)
- # financial arrangements
- # excepted financial arrangements (other than depreciable intangible property)
- # property that the owner has a right to be compensated for if there is any decline in value upon disposal
- # certain engine overhaul components of an aircraft (s [DW 5](#) and [¶10-127](#))
- # a utilities distribution network, to the extent to which it is treated as an item of property separate from the relevant utilities distribution assets
- # property that the owner elects to treat as not being depreciable property
- # property that the owner elects to treat as a low value asset
- # property that another person may deduct the cost of, and
- # property whose cost is deductible under some other provision outside the depreciation regime.

Case F4 ([1983](#)) 6 NZTC 59,583 illustrates how the exclusion for property accompanied by a right to compensation applies. The case involved a financier who acquired and leased out premises for 10 years, subject to an option by which the lessee could be compelled to purchase the premises. The purchase price payable upon exercise of the option ensured that the financier would recoup the cost of any improvements added to the premises by the financier over the term of the lease. Since the financier would recover the cost of this capital expenditure, no deduction for a depreciation loss is allowed.

Might reasonably be expected to decline in value

The Court of Appeal has made obiter comments on the requirement for an asset to reasonably be expected to decline in value in order to be depreciable. In *Queenstown Airport Corporation Ltd v C of IR* ([2017](#)) 28 NZTC ¶23-002, the Court of Appeal confirmed the Commissioner's disallowance of depreciation deductions for runway end safety areas (RESA) on the basis that the RESA was not within the improvements listed in [Sch 13](#) of the IT07. Having reached this conclusion, it was not strictly necessary for the court to consider whether, in normal circumstances, the RESA might reasonably be expected to decline in value while used or available for use. However, the Court of Appeal went on to make the following points on this issue:

- # The reference to normal circumstances refers to circumstances that might ordinarily be expected to affect the value of the relevant asset over time. Abnormal circumstances, of which an earthquake might be one, are excluded from consideration.
- # The assessment is ordinarily made at the time the relevant deduction is sought. Necessarily, this will involve a prediction of future events.
- # The test is objective in the sense that it would not be sufficient for a taxpayer to believe that the asset might deteriorate over time and therefore decline in value. There must be a reasonable basis for that expectation.
- # The expression "might reasonably be expected to decline in value" sets a relatively low threshold. So long as there is a reasonable prospect that the asset might decline in value in the future, that is sufficient.
- # It is not necessary that the asset is actually used, only that it is available for use.
- # The test does not mean the asset in question must require complete replacement at the end of its useful life. Nevertheless, the extent, nature and cost of any work required to reinstate the relevant asset may have a material bearing on the assessment of whether a decline in value might reasonably be expected.

Election that an asset is not depreciable property

Under s [EE 8](#), a taxpayer may elect that an asset is never depreciable property or that it ceases to be depreciable property where no depreciation has actually been claimed by the taxpayer. The election is made by a notice in the tax return for the year of acquisition or cessation.

An election may also be retrospective in the sense that an election can be made in relation to an asset that has never been the subject of a claim to deduct a depreciation loss.

A taxpayer may make an election that an asset is not depreciable property where depreciation recovery income is anticipated upon disposal of the property. However, even in those circumstances, there remains a timing advantage for the taxpayer to claim depreciation over the life of the asset, if only to have it “clawed back” later on the subsequent disposal.

Special excluded depreciable property

“Excluded depreciable property” is property for which an economic rate cannot be set and does not include “special excluded depreciable property” (s [EE 64](#)). “Special excluded depreciable property” means all buildings that are not specified in Sch [39](#). A person must use historic depreciation rates for these items.

Law: IT07 ss [EE 6–EE 8](#), [EE 62](#), [EE 64](#), [EE 67](#), [YA 1](#) (“property”), [Schs 14](#), [39](#)

Last reviewed on 31 December 2025

Depreciable property must be used or available for use [¶13-044]

[¶13-044]

[Click to open document in a browser](#)

A depreciation loss will only arise if depreciable property owned by the person is used, or is available for use, by the person during the income year.

Depreciable property can continue to be treated as available for use, even though it may temporarily be subject to repair or an inspection. A temporary rule applies for assets affected by the Canterbury earthquakes (see below).

A business sometimes finds that it is desirable to cease using an asset to produce assessable income, such as during a period of retraction. Alternatively, an asset may not always be able to be used to generate assessable income, such as when a rental property becomes vacant upon the departure of tenants. On such occasions, a deduction for a depreciation loss may continue to be allowed even though the asset is not being used, because the asset is still available for use.

The following examples are adapted from examples given by the Commissioner.

Example:

In April 20X4, Margaret purchased equipment in anticipation of setting up a florist business in the near future. The business did not, in fact, commence until March 20X5. The depreciation deduction for Margaret's 20X4–X5 income year is restricted to one-twelfth of the yearly depreciation claim.

For a cargo ship in dry dock, the carrying out of normal ongoing maintenance is an ordinary incidence of the business so that the ship would still be regarded as available for use in carrying on the business.

If plant and machinery is complete, but is awaiting the addition of other plant before being put into production, the completed plant and machinery will only qualify for a depreciation deduction if the completed plant is available for use either in isolation or in another production line, if required. However, if a further machine or plant is required to be added to the completed plant and machinery in order to produce a product, a depreciation loss will not be available until that other necessary plant or machinery has been added.

A claim for depreciation in respect of stored plant and machinery depends on the degree and time of any reconnection or installation required. If the item (eg a transformer) is a back-up piece of equipment necessary to keep an operation going, it is regarded as being available for use and depreciable. However, if the stored plant is a new piece of machinery or plant yet to be installed, there is no entitlement to a depreciation loss until the installation process is complete.

Assets affected by an emergency event

Access to an item of depreciable property may have been restricted due to the effects of an emergency event. Normally, such a restriction would mean that the property is treated as not being used or available for use in deriving assessable income. However, s [FP 16](#) provides relief to taxpayers where access to depreciable property is denied due to an emergency event if:

- # the property was used or available for use immediately before the restriction being imposed, and
- # the property would be used or available for use but for the restriction.

The property is treated as being available for use while access is restricted.

Note similar relief applied for assets affected by the Canterbury earthquakes or the North Island flooding event (ss [EZ 72](#) and [EZ 85](#)).

Law: IT07 ss [EE 1\(2\)](#), [EE 10](#), [EZ 72](#), [EZ 85](#), [FP 16](#)

Last reviewed on 31 December 2025

Low-value assets for depreciation purposes [¶13-054]

[¶13-054]

[Click to open document in a browser](#)

A low-value item is treated as giving rise to a deduction for the entire cost of purchase in the year of acquisition. In other words, the cost of purchase is deductible on a current year basis.

A low-value item is an item with a cost equal to or less than the threshold amount. The cost is the GST-exclusive cost if the taxpayer is a registered person, or the GST-inclusive cost if the taxpayer is not a registered person. The threshold is \$1,000 for an item acquired on or after 17 March 2021.

To be eligible for treatment as a low-value item, the asset must be of a separate nature. It cannot be an asset that was or will become part of another asset that is depreciable property. Another restriction is that the item cannot be purchased from the same supplier at the same time as other assets to which the same depreciation rate applies. That restriction might apply, for example, to the purchase of a set of tables and chairs where the total cost exceeds the threshold but the cost for each individual item does not. However, if the entire purchase costs less than \$1,000, treatment as a low-value item continues to be available.

It may be necessary to recognise depreciation recovery income if a low-value item is sold or applied for private purposes. If the asset is sold, the entire sale proceeds are assessable income in the year in which the asset is sold. If the asset becomes a private asset, the market value of the asset when it is first used privately becomes assessable income.

Law: IT07 s [EE 38](#)

Last reviewed on 31 December 2025

Cost of depreciable property [¶13-064]

[¶13-064]

[Click to open document in a browser](#)

Depreciation methods are applied to the cost of depreciable property, or to its market value in certain circumstances ([¶13-104](#)).

Section [EE 54](#) deals with the impact of GST on cost. Firstly, if the person is registered for GST, the amount of any input tax is deducted from the property's cost. Secondly, the cost is increased by the amount of "deductible output tax" for the income year. "Deductible output tax" includes any input tax that is not claimable at the time of acquisition because the asset will not be fully applied to a taxable purpose. It also includes any output tax payable when an asset that was acquired for a taxable purpose is subsequently applied for a non-taxable purpose.

The notion of cost is not confined to an expenditure. It can extend to something given in order to acquire something. In *Tasman Forestry Ltd v C of IR* ([1999](#) 19 NZTC 15,147), a taxpayer who purchased the shares of forest-owning companies and later received a distribution in specie of the forest assets was held to have a cost of timber equating with the cost of the shares. The shares had been purchased as a means of acquiring the forests. The Court of Appeal rejected the Commissioner's view that the taxpayer had no cost of timber at all. The Court also thought that the taxpayer's view of cost equating with market value at the time of distribution was too generous. Factors such as tax liabilities and tax losses may have had an impact on the value of what was received upon the distribution. The cost of the shares purchased to acquire the forests was an appropriate measure of cost.

The concept of cost may encompass the economic sacrifice expressed in monetary terms to acquire the asset. In *C of IR v Atlas Copco (NZ) Ltd* ([1990](#) 12 NZTC 7,327), the High Court concluded that, in the absence of specific provisions on the topic, the cost price of a motor vehicle for fringe benefit tax purposes was the GST-exclusive cost of the vehicle. The employer as a registered person was entitled to a GST input tax deduction for the GST component of the purchase price.

The cost of the construction of tramways was held to encompass the amount paid by the taxpayer for the works, exclusive of contributions from customers that would benefit from the tramways, as it would in relation to government grants received for the engagement of unemployed persons on construction projects (*Corporation of Birmingham v Barnes (I of T)* (1935) 19 TC 195).

The notion of cost means the cost of purchase and not the market value at a later date. On this approach, the cost of a residential property purchased as a residence for the taxpayer, but later applied in rental activities, was the initial cost of purchase and not the market value when renting commenced (Case Q35 ([1993](#) 15 NZTC 5,171)). A special rule applies when a private asset is first applied to business use ([¶13-164](#)).

The Commissioner accepts that the concept of cost may include installation costs and the cost of adding accessories (*Tax Information Bulletin* [¶159-104](#), [¶159-105 Vol 15, No 9](#), September 2003 at 11). That approach was taken in relation to a discussion on the cost price of a motor vehicle for fringe benefit tax purposes. The same perspective on the notion of cost would suggest that the concept may also include:

- # preliminary costs incurred on exploring the feasibility of purchase of depreciable property
- # transaction costs such as legal fees documenting purchase of the property
- # delivery costs such as shipping expenses
- # installation costs (including wages paid to employees of the purchaser of the depreciable property to effect installation: *Christchurch Press Co Ltd v C of IR* ([1993](#) 15 NZTC 10,206)).

Under s [DF 1](#), when calculating a depreciation loss, expenditure on the acquisition, construction, installation or extension of depreciable property is to be reduced by a grant or subsidy from a local authority, a public authority, or a public Crown-controlled company. Such a grant or subsidy is excluded income of the recipient under s [CX 47](#), unless the grant is small business cashflow loan, or an R&D growth grant and the recipient chooses not to treat the payment as excluded income (s [CX 47\(4\)](#)). Consequently, where the amount

received is excluded income and is used to acquire, construct, install or extend depreciable property, the amount is not subject to a depreciation claim.

Law: IT07 ss [DF 1](#), [EE 54](#)

Last reviewed on 31 December 2025

Diminishing value method and straight-line method [¶13-104]

[¶13-104]

[Click to open document in a browser](#)

The depreciation methods for calculating a depreciation loss are:

- # the diminishing value (DV) method, which is defined to mean the subtraction in each income year of a constant percentage of the item's adjusted tax value from the adjusted tax value of the asset
- # the straight-line (SL) method, which is defined to mean the subtraction in each income year of a constant percentage of the item's cost from the adjusted tax value of the asset, or
- # the pool method, being the DV method applied to a collection of low-cost assets.

A person chooses one of these methods by applying it and incorporating the calculation in a tax return. It is possible to change between the DV and SL methods from year to year, but not within a year. In the case of the pool method, once it has been adopted in relation to an asset, it must continue to be applied for so long as the asset remains poolable property. The pool method is outlined at [¶13-144](#).

Generally, the method chosen is not applied in the income year in which the depreciable property is disposed of. A calculation of depreciation recovery income, if any, is made instead. There are exceptions for certain buildings and petroleum assets, so that a depreciation loss for them may continue to be calculated in the year of disposal.

The DV method is not available to be applied for fixed life intangible property ([¶13-450](#)).

The SL method is available for any item of depreciable property. However, its use is mandatory for fixed life intangible property.

The straight-line method and the diminishing value method

The same formula applies to the SL method and the DV method. The formula is set out in s [EE 16](#), and it reads as follows:

$$\text{annual rate} \times \text{value or cost} \times \text{months} \div 12$$

where:

annual rate is the annual depreciation rate applicable to the asset (this is always expressed as a decimal, see [¶13-124](#))

value or cost is:

- # the adjusted tax value of the asset at the end of the previous income year under the DV method, or
- # cost, less any deduction allowed outside the depreciation regime under the SL method (except for patents — see [¶13-540](#), and plant variety rights — see [¶13-560](#)), and

months is 12 or, if less, the number of months the asset is owned and used or available for use in the income year. For a person whose income year is longer than 12 months, "months" is the number of months the asset is owned by the person and is used or available for use.

Example:

On 20 September 20X3, AMB purchased a new bulldozer for \$200,000. AMB has a 31 March balance date so that the bulldozer was owned for 7 months of the income year, September through to March. No apportionment is required for the ownership for only a part of September. The standard calculation (using the DV rate) is:

$$13.0\% \times \$200,000 \times \frac{7}{12} = \$15,167$$

The claim for a depreciation loss is \$15,167. The new adjusted tax value at the start of the 20X4–X5 income year is \$200,000 # \$15,167 = \$184,833.

Special provision is made for the cost of the asset if the person changes from the DV method to the SL method for an income year. In that event, cost becomes the adjusted tax value at the end of that income year before the depreciation loss for that year is deducted.

Example:

Danny operates a printing business and, in the 20X0–X1 income year, he bought a secondhand etching machine for \$20,000. The DV rate of 25% was applied to this machine. By the end of the 20X2–X3 income year, it had been depreciated down to \$8,437. Danny decided to change from DV to SL method from the 20X3–X4 income year. The adjusted tax value before claiming any depreciation for the 20X3–X4 income year is \$8,437. According to [Sch 10](#), the equivalent SL rate to 25% DV is 17.5%. The depreciation loss on the etching machine will be \$1,476 ($17.5\% \times \$8,437$) in each year in which the SL method is applied.

It is possible to make a post-acquisition adjustment to the cost of fixed life intangible property. If additional costs have been incurred for the item, and those costs are not otherwise allowed as a deduction, they may be added to the adjusted tax value at the start of the income year and the formula applied accordingly.

Law: IT07 ss [EE 11](#)–[EE 16](#), [EE 18](#), [EE 19](#), [EE 67](#)

Last reviewed on 31 December 2025

Annual rate of depreciation [¶13-124]

[¶13-124]

[Click to open document in a browser](#)

The annual rate of depreciation for an item of depreciable property is:

- # the economic rate ([¶13-126](#)), special rate, or provisional rate for property not described below, or
- # for items acquired on or before 20 May 2010, the economic rate, special rate, or provisional rate for the property multiplied by an uplift factor of 1.2 (commonly referred to as “depreciation loading”) where the property has not previously been depreciable property in New Zealand and the property is not a building, a used imported car or an international aircraft, or
- # 0% for:
 - # a building for the 2011–12 to 2019–20 income years
 - # a residential building for the 2020–21 to 2023–24 income year
 - # a building from the 2024–25 income year that has an estimated useful life of 50 years or more ([¶13-410](#)), or
 - # a DV rate of 15% or a SL rate of 10% for an international aircraft ([¶13-128](#)).

Law: IT07 s [EE 31](#)

Last reviewed on 31 December 2025

Economic rates for depreciable property [¶13-126]

[¶13-126]

[Click to open document in a browser](#)

The economic rates for property are set by the Commissioner by determination. The rates are collated into schedules (see below). The Commissioner does not set economic rates for fixed life intangible property or excluded depreciable property ([¶13-128](#)).

Calculation of economic rates

To ascertain the economic rate to be applied to an asset (excluding buildings, excluded depreciable property, certain aircraft and vehicles, or property with a high residual value) acquired on or after 1 April 2005, the Commissioner applies the formula:

$$2 \div \text{estimated useful life}$$

Estimated useful life is expressed in years. Once a figure has been ascertained, it is subject to rounding up or down to the nearest DV rate specified in column 1 of [Sch 11](#). The estimated useful life of property (with the exception of copyright in a sound recording) is the period during which the property might reasonably be expected to be useful in deriving assessable income or in carrying on a business for deriving assessable income. The factors that are taken into account in making any such assessment are:

- # the passage of time
- # likely wear and tear
- # exhaustion and obsolescence, and
- # normal and reasonable maintenance.

In interpretation statement [IS 11/01](#), “Income tax — depreciation: meaning of ‘obsolescence’ in the definition of ‘estimated useful life’”, the Commissioner’s view is that for obsolescence to affect the estimated useful life of an item there must be reasonable certainty that the item will become obsolete and also a sufficiently clear indication of the time at which this is likely to occur.

The Commissioner’s estimate of the useful life of an item is usually stated in the relevant depreciation determination. The economic rate determined by the Commissioner applies to property on a class basis. It applies to all assets that can be regarded as being one kind of depreciable property. The rate may also extend to similar kinds of depreciable property if the Commissioner considers that to be appropriate, having regard to the possible rates and any possible reduction in compliance costs.

Calculation of economic rates for high residual value property

A different formula is used by the Commissioner when setting the economic rates for high residual value property (ie property with an expected residual market value greater than 13.5% of cost), eg international ocean-going yachts. The rates calculated for assets that have a high residual value are rounded up or down to the nearest rate set out in [Sch 11](#) (new banded rates of depreciation).

Depreciation schedules

The economic depreciation rates set by the Commissioner are collated into schedules. The current schedules of economic depreciation rates are set out in CCH, *New Zealand Depreciation Rates*. The schedules are split into 2: an industry category schedule and an asset category schedule. Perhaps the best way to locate an applicable economic rate is first to determine the date of acquisition of the asset and confirm the correct schedule to use. Then look under the relevant industry category. These include categories for agriculture, horticulture and aquaculture, bakeries, contractors, builders and quarrying, leisure and so on. If the asset in question is not listed under these industry categories, look under general asset categories, such as books, music and manuscripts, building fit-out, computers, office equipment. If an

appropriate rate cannot be located from the asset categories, the default rate under the industry or asset category may be used. The rate adopted should be the one that is more appropriate in terms of how the asset is used.

Example:

Joe operates a takeaway. In April 20X3, Joe purchased a new machine that wraps ready-made sandwiches in cellophane. To find the correct depreciation rate, Joe will need first to review the rates under the industry category "hotels, motels, restaurants, cafes, taverns and takeaway bars". The machine is not listed under this classification, and it is not separately identified under any asset category. However, there is a rate for wrapping machines under the industry category "food processing". As Joe would use the machine in the same way that this industry would, this rate may be adopted. The correct rate to be applied is 8.5% SL or 13% DV.

The table below summarises the appropriate schedule of depreciation rates to be used to determine the rate for an item of depreciable property, depending on its acquisition date.

Date of acquisition	Rates
21 May 2010 onwards	New economic rates excluding 20% uplift for new assets (not including buildings (buildings before 1 April 2020 and residential buildings from 1 April 2020 to 31 March 2024), used imported cars, fixed life intangible property, excluded depreciable property or international aircraft)
1 April 2005 to 20 May 2010	New economic rates plus 20% uplift for new assets (not including buildings, used imported cars, fixed life intangible property, excluded depreciable property or international aircraft)
1995–96 to 2004–05 income year	1993–2005 economic rates plus 20% new asset uplift (where applicable)
1 April 1993 to 1994–95 income year	Old schedule rates plus 25% uplift (where applicable) or 1993–2005 economic rates (without new asset uplift)
16 December 1991 to 31 March 1993	Old schedule rates plus 25% uplift (where applicable)
15 December 1991 and earlier	Old schedule rates

Special rate or provisional rate

A taxpayer may seek a special rate higher or lower than the economic rate for an item of depreciable property (other than excluded depreciable property, an item of special excluded property and buildings) from the Commissioner. In recent years the ability to depreciate buildings has changed. Before 1 April 2020, excluded depreciable property, special excluded depreciable property and buildings could not be depreciated. Then from 1 April 2020 to 31 March 2024, an item of special excluded depreciable property, or a residential building was excluded from being depreciated. The effect was that commercial and industrial buildings could once again be depreciated between those dates. From 1 April 2024, that ability has once again been removed for the 2024–25 and later income years.

A special rate is likely to be appropriate where the person's use of the depreciable property is so different from normal usage that the standard rate may not reflect the property's economic life for the person. Operation in corrosive conditions, or in 2 or 3 shifts a day, for example, might justify a special rate. In determining a special rate or a provisional rate, the Commissioner can have regard to any relevant factor concerning the property's estimated useful life. The factors could include an estimate based on a valuer's report or on the rate used by the person for financial reporting purposes. The Commissioner has indicated that an asset's estimated useful life will be based upon its expected "whole of life". The Commissioner also indicated that if an application for a special rate is unresolved by the balance date, the rate currently in use should be applied, subject to amendment if the application is successful (*Tax Information Bulletin* ¶177-105 Vol 17, No 7, September 2005 at 40).

In interpretation statement [IS 10/05](#), “Depreciation — estimated useful life and lease terms”, the Commissioner has stated that a special rate cannot be obtained based on the length of a lease and the taxpayer’s decision to demolish the particular item at the end of the lease term. For example, a taxpayer enters into a lease for 10 years. The taxpayer seeks a special rate for an item of depreciable property based on the length of the lease, which is 10 years (the usual estimated useful life for such an item is 20 years). The Commissioner will not grant a special rate based solely on the length of the lease. The item of depreciable property may no longer be used by the taxpayer at the end of the lease term, but the Commissioner considers that this does not necessarily make the item useless.

A taxpayer may also seek a provisional rate for an item of depreciable property where there is no applicable economic rate. No provisional rate can be set for fixed life intangible property or excluded depreciable property.

There is a restriction in s [EE 36](#) preventing a person from reverting to a lower economic rate or to a provisional rate in order to defer deductions for an asset’s depreciation loss. There is an exception to the rules relating to annual rates and special or provisional rates for depreciation adjustments made in respect of overseas leased assets under the finance lease rules ([16-700](#)).

Changing rates

QWBA, [QB 15/03](#), “Income tax — changing to a different depreciation rate for an item of depreciable property” concludes that a taxpayer can change the depreciation rate in limited circumstances. This is when the depreciation rate used is not or is no longer the depreciation rate that applies to the taxpayer’s particular item of depreciable property. This is the case in the following circumstances:

- # There is a change in legislation that means a different depreciation rate applies to the item.
- # The taxpayer changes from using a special rate to using the economic or provisional rate that applies to their item.
- # The Commissioner sets a new depreciation rate that applies to the item of depreciable property.
- # The taxpayer has been using an incorrect depreciation rate.
- # The depreciation rate is no longer applicable due to a change in circumstances.

The QWBA explains those circumstances and provides examples showing how they might arise in practice.

Law: IT07 ss [EE 26](#), [EE 30](#), [EE 35](#), [EE 36](#), [EE 61](#), [EE 63](#), [EE 67](#), [Sch 11](#)

Last reviewed on 31 December 2025

Annual depreciation rates for specific assets [¶13-128]

[¶13-128]

[Click to open document in a browser](#)

There are specific rules for establishing the depreciation rates for:

- # buildings
- # fixed life intangible property
- # excluded depreciable property
- # international aircraft, and
- # certain aircraft and motor vehicles.

Buildings

Before the 2011–12 income year, depreciation was allowed on all buildings. From the 2011–12 income year, buildings with an estimated useful life of 50 years or more had an annual depreciation rate of 0%. Other buildings remained depreciable. For the 2020–21 to 2023–24 income years, only residential buildings with an estimated useful life of 50 years or more had an annual depreciation rate of 0%. Non-residential buildings with an estimated useful life of 50 years or more had a depreciation rate of 2% DV or 1.5% SL for the 2020–21 to 2023–24 income years.

With effect from 1 April 2024, for the 2024–25 and later income years, all buildings with an estimated useful life of 50 years or more have a depreciation rate of 0%. The ability to claim a depreciation deduction on non-residential (commercial and industrial) buildings has been removed.

For buildings other than those with an estimated useful life of 50 years or more, the annual rate will usually be the building's economic rate. The Commissioner sets the economic rate for buildings acquired on or after 19 May 2005 (and without a high residual value) by applying the formula in s [EE 28](#):

$$1 \div \text{estimated useful life}$$

Estimated useful life is expressed in years ([¶13-126](#)). Once a figure has been ascertained, it is subject to rounding up or down to the nearest SL rate specified in column 4 of [Sch 11](#). No 20% uplift factor is applied to buildings when establishing the annual rate.

Although buildings with an estimated useful life of 50 years or more have a 0% annual rate, they are still considered depreciable property so that a disposal may give rise to depreciation recovery income.

To clarify the position that the fit-out of commercial buildings is not subject to the 0% annual depreciation rate, the definition of “building” which excludes commercial fit-outs and grandparented structures (certain structures acquired or for which a binding contract was entered into on or before 30 July 2009) is reinstated. Note that the exclusion does not include commercial fit-out acquired as part of a building in the 2010–11 or an earlier income year for which the person has never had any deductions under any provisions except ss [DB 65](#) (now repealed) and [DB 65B](#) (Allowance for embedded fit-out of certain commercial buildings).

The depreciation of buildings is further discussed at [¶13-410](#).

Fixed life intangible property

The annual rate for fixed life intangible property is the rate calculated using the following formula:

$$1 \div \text{legal life}$$

The term “legal life” refers to the remaining legal life of the property from the date of acquisition by the person. That legal life is the property's term as specified by statute or contract, and it must include any renewal period that is unconditional or conditional upon the payment of predetermined fees. If additional costs have been incurred, the legal life is the remaining legal life for the asset, starting with the income year in which the person incurred the additional costs. The rate given by the formula must be expressed as a

decimal and rounded to 2 decimal places. Numbers at the midpoint or greater are to be rounded up and other numbers rounded down.

The definition of “legal life” for a land right, being a lease or licence, includes the term of any consecutive or successive land rights granted over the same parcel of land at the same time to a taxpayer or an associated person as part of the legal life.

Example:

Mark acquired the right to use a registered trademark from 1 April 20X4, with a value of \$20,000 and a legal life of 5 years. Under the formula, the depreciation rate Mark would use is:

$$\frac{1}{5} = 0.2 \text{ or } 20\%$$

Mark can claim a deduction for a depreciation loss of \$4,000 in each year.

The depreciation rate for patents and design registrations is addressed at [113-540](#).

Excluded depreciable property

The annual rate for excluded depreciable property is the rate published by the Commissioner for the 1992–93 income year. The Commissioner has no power to change the rate. The concept of excluded depreciable property is defined in s [EE 64](#) to mean depreciable property that is one of the following:

- # property purchased or to be constructed under a binding contract entered into before 16 December 1991
- # property used or available for use in New Zealand before 1 April 1993 (except as trading stock)
- # property that is an intangible item that was used or available for use before 1 April 1993
- # property that is a qualifying asset (being assets that were new and depreciable under the Income Tax Act 1976), or
- # property that is a qualifying improvement (being expenditure incurred during the period 16 December 1991 to 31 March 1994 under a binding contract entered into in that duration).

There is a qualification to this definition. Excluded depreciable property does not include property that existed at the end of the 1992–93 income year and that was accounted for in that income year under one of the standard value methods — the replacement value method or the annual revaluation method. Property of that kind can continue to be treated as depreciable property for the purpose of determining the annual rate for the property.

For the 2011–12 to 2019–20 income years, and again from the 2024–2025 income year onwards, excluded depreciable property also does not include “special excluded depreciable property”. “Special excluded depreciable property” is defined to mean buildings that are not listed under [Sch 39](#). The items listed in [Sch 39](#) are: carports (hired out to householders), portable huts, cool-stores and freezing chambers, slaughterhouses on farms, fowl houses, plastic hothouses and PVC tunnel houses, glasshouses, buildings affected by acid, milking sheds, roofed livestock yards, wintering barns and simple loafing barns, milk powder buildings, temporary buildings, fish processing buildings and tannery buildings affected by acid. In essence, this means that the depreciation rate for buildings that are not listed in [Sch 39](#), and that would otherwise have been excluded depreciable property, is set at 0% (rather than the applicable 1992–93 rate). The buildings included in [Sch 39](#) continued to be depreciated at the appropriate rate in the ordinary way. However, with the changes to the depreciation of buildings from the 2020–21 income year, discussed above, these provisions were no longer necessary and the definition of “special excluded depreciable property” and [Sch 39](#) were repealed for the 2020–21 to 2023–24 income years.

International aircraft

The annual rate for depreciating international aircraft acquired after the 1994–95 income year is 15% under the DV method or 10% under the SL method.

Other aircraft and motor vehicles

Aircraft (fixed wing, self-propelled, non-international, not used for top-dressing or spraying, and not helicopters) are depreciated at 10% DV or 7% SL.

Passenger-carrying motor vehicles (with no more than 12 seats) are depreciated at 30% DV or 21% SL.

Law: IT07 ss [EE 26](#), [EE 28](#), [EE 29](#), [EE 31](#), [EE 33](#), [EE 61](#), [EE 63](#), [EE 64](#), [EE 67](#), [YA 1](#) (“[building](#)”), [Schs 11](#), [39](#)

Last reviewed on 31 December 2025

Pool method for depreciable property [¶13-144]

[¶13-144]

[Click to open document in a browser](#)

The pool method is one of the 3 available methods for calculating a depreciation loss for an income year. The method is to be applied to the person's poolable property. "Poolable property" is property acquired during the income year for no more than its maximum pooling value. The maximum pooling value is \$5,000 or such other value that the Commissioner may have prescribed by a determination for the particular item (\$2,000 before the 2015–16 income year). An item can still be poolable property if it had a cost that is more than the maximum, so long as it has an adjusted tax value at the start of the income year that is less than the maximum pooling value. This may come about because prior depreciation losses for the asset have reduced its adjusted tax value below the maximum. Poolable property can also include any property that was subject to the globo accounting method at the end of the 1992–93 income year.

In all cases, the property must be wholly used or is available for use in deriving assessable income. Alternatively, to the extent that the property is not wholly used in that manner, it must be used in a way that attracts a liability for fringe benefit tax. If this requirement ceases to be satisfied, the asset is deemed to be disposed of at market value. This may or may not create depreciation recovery income. The asset is deemed to be reacquired at the same market value on that day, allowing a deduction for the depreciation loss to continue to be claimed.

A building cannot be an item of poolable property.

There is no restriction requiring the creation of only one pool. Several pools of poolable property may be maintained.

It is possible to combine pools of depreciable property to form a single pool. The single pool is created by combining the adjusted tax values of each of the pools to total one new adjusted tax value for the new pool. The former pools and their adjusted tax values cease to exist.

There may be additions to or deletions from the pool during the income year. If an asset is acquired for addition to the pool, the adjusted tax value of the pool is increased by the cost of the asset. If an asset, subject to another depreciation method in the previous year, is added to the pool, the adjusted tax value of that asset is added to the pool's adjusted tax value on the date it is included in the pool, and the asset's adjusted tax value at the end of the previous income year is added to the starting adjusted tax value of the pool for the income year of addition.

Formula for calculating depreciation loss for pool

The formula to be applied to calculate the depreciation loss for a pool of depreciable property under the pool method is the following:

$$\text{rate} \times ((\text{starting adjusted tax value} + \text{ending adjusted tax value}) \div 2) \times \text{months} \div 12$$

where:

rate is the lowest DV rate applicable to any asset in the pool

starting adjusted tax value is:

the pool adjusted tax value at the start of the income year, together with the prior year's adjusted tax value of any items previously separately depreciated that were added to the pool during the income year, or

zero if the pool starts during the income year

ending adjusted tax value is the adjusted tax value of the pool at the end of the income year before deduction of the depreciation loss, increased by the cost of the items added to the pool during the income year and decreased by the amount of consideration derived from the disposal of pooled items during the income year (less any disposal costs during the income year), and

months is the number of whole or part months in the income year that the asset is used. This may be more or less than 12 months.

Example:

Adam has a pool of assets, with an adjusted tax value of \$18,000 at the beginning of the year. During the year, he purchases 3 assets for \$2,000 each. At the end of the year, Adam decides to include them in the pool. The value of the pool at the end of the income year, before deducting the year's depreciation loss, is \$24,000.

The average pool value is:

$$(\$18,000 + \$24,000)/2 = \$21,000$$

Assuming the DV rate of 25%, the depreciation loss and the adjusted tax value of the pool will be calculated as follows:

	\$
Value of pool at the end of income year	24,000
Less annual depreciation (\$21,000 × 25%)	<u>(5,250)</u>
Adjusted tax value of pool	<u>18,750</u>

Disposal of an asset

The disposal of an asset from the pool is dealt with by deducting the excess of consideration received upon disposal over expenses incurred in disposing of the asset from the pool's adjusted tax value. Special rules apply if an amount of insurance, indemnity or compensation is received for damaged assets (see below). If all of the assets of the pool are disposed of, but the adjusted tax value continues to be positive, the depreciation loss for the income year is that positive figure. If the adjusted tax value is negative, the negative amount becomes an item of depreciation recovery income for the income year.

Lowest rate used

Since the rate of depreciation used for a pool is the lowest rate, care may need to be exercised in the selection of assets included in a pool.

Date pool commences

It may be important to consider the date the pool commences, ie when the pooling method is first adopted. The date influences the average pool value. Upon commencement of the pool method part-way through the income year, the pool value at the beginning of the income year will be nil. The amount of the depreciation loss will be based on half the pool value at the end of the income year.

Example:

Dan starts a business on 15 May 20X4 and purchases 5 assets for \$2,000 each, which he pools. Dan has a 31 March balance date and uses a depreciation rate of 20% DV. Dan's 20X4–X5 depreciation loss is calculated as follows:

	\$
Calculate average pool value:	
Pool value on 1 April 20X4	nil
Pool value at end of year (31 March 20X5)	10,000
Divide by 2 to average	5,000
Calculate annual depreciation:	
(\$5,000 × 20% × 11 months)/12	= \$916.66 depreciation loss

The 11 months is 15 May 20X4 to 31 March 20X5.

Assets added to pool

If assets that have not previously been separately depreciated are added to the pool at the beginning of an income year, the pool values at both the beginning and the end of the year will increase. If such assets are added to the pool part way through the income year, only the pool value at the end of the year will increase.

Example:

Assuming a 31 March balance date:

	\$
Pool value at 1 April 20X4	5,600
Additions during February 20X5	<u>3,300</u>
Pool value at 31 March 20X5	8,900
Sum of opening and closing value of pool	14,500
Average pool value on which annual depreciation is calculated	\$7,250

Insurance or other compensation received for pool items

Where an amount of insurance, indemnity or compensation is received for a damaged item in a pool, and that item has not been disposed of during the income year, the excess of the amount received over expenditure incurred because of the damage is deducted from the adjusted tax value of the pool.

If a person disposes of a pool item during the income year and receives an amount of insurance, indemnity or compensation for damage to the item before its disposal, the excess of the amount received over expenditure incurred in disposing of the asset is deducted from the adjusted tax value of the pool.

Law: IT07 ss [EE 21–EE 24](#), [EE 65](#), [EE 66](#)

Last reviewed on 31 December 2025

Adjusted tax value for an item of depreciable property

[¶13-164]

[¶13-164]

[Click to open document in a browser](#)

To calculate an asset's depreciation loss in an income year, the appropriate rate of depreciation is applied to an asset's adjusted tax value. By this approach, the adjusted tax value at any time reflects the asset's cost, as reduced by the depreciation loss for prior years. Depreciation recovery income, if any, is also determined in light of the asset's adjusted tax value.

The adjusted tax value for an item of depreciable property is generally:

$$\text{base value} \quad \# \quad \text{total deductions}$$

where:

base value is the cost or, in certain circumstances, the market value of the depreciable property, and **total deductions** is the total of all prior deductions for depreciation loss and the amount that would have given rise to deductions for depreciation loss if the property had always been wholly used in the derivation of assessable income.

To ascertain the cost of the depreciable property, no amount may be included that is allowed as a deduction under some other provision of the IT07. If a private asset becomes committed to the production of assessable income, the base value of the asset is its market value when it is first committed to business use. This is provided that the asset in question is neither a building nor petroleum-related depreciable property. With those 2 classes of asset, it would be necessary to ascertain cost, and base value, according to the historical cost of the asset.

The total deductions amount for the depreciable property is ascertained by taking all deductions that have been allowed for the property and all deductions that would have been allowed if the property had been wholly used in deriving assessable income. This essentially requires a deduction for a depreciation loss to be claimed as and when it becomes available, rather than permitting its deferral to a future period. If deductions have not previously been claimed, the DV method is used to calculate what the deduction for depreciation loss would have been.

The requirement to include depreciation deductions that would have been allowed if the property had been used for deriving income does not apply if the property is not available for use in deriving assessable income or carrying on a business. The exception to this is an amount of depreciation deduction available under s [EE 39](#) for an item that is no longer used.

The adjusted tax value for a pool of depreciable property is the total of the adjusted tax values of all items in the pool.

There is an exception for depreciation adjustments made in respect of overseas leased assets under the finance lease rules ([¶16-700](#)).

Capital contributions

A capital contribution is a payment received under an agreement that is to be applied towards the acquisition of capital contribution property under the terms and conditions of the agreement. Capital contribution property includes depreciable property owned or to be acquired by the recipient. Payments made by persons in their capacity as a settlor, partner or shareholder of the recipient are not capital contributions. Note that certain amortisable property under subpart [DO](#), such as farming and aquaculture improvements, and listed horticultural plants, is also capital contribution property ([¶127-175](#), [¶127-365](#), [¶127-400](#) and [¶127-410](#)).

Generally, insurance pay-outs do not come within the definition of "capital contribution". However, there is an exception for insurance proceeds received in relation to an interruption or impairment of business

activities, and the proceeds are used by the recipient to purchase replacement depreciable property. This rule generally applies from the 2011–12 and later tax years.

Capital contributions received by a person on or after 20 May 2010 are treated as income under s [CG 8](#) in the year of receipt and the following 9 income years. A formula in s [CG 8\(2\)](#) requires the amount of the capital contribution be divided by 10. The result is then treated as income in the year of receipt and the following 9 years ([¶15-356](#)).

Alternatively, for capital contribution property that is depreciable property, the person may elect to reduce the amount of the cost, base value, or adjusted tax value (as applicable) by the amount of the capital contribution (s [DB 64](#)). The election is made in the person's income tax return in the year in which the capital contribution is received. Each new capital contribution requires a new election ([¶10-200](#)).

If the person elects to reduce the cost, base value or adjusted tax value of the depreciable property, the amount of the capital contribution is added to the amount of depreciation deductions claimed by the person for the purposes of calculating depreciation recovery income (s [EE 48](#) and [¶13-300](#)).

Example:

On 1 June 20X4 Bizzy Blooms Ltd receives a payment of \$10,000 from its landlord to enter into a new lease. The terms and conditions of the agreement require that Bizzy Blooms Ltd must use the funds towards fit-out of their premises. A total of \$12,000 is spent by Bizzy Blooms Ltd on fit-out for the year ended 31 March 20X4.

In its 20X4–54 income tax return, Bizzy Blooms Ltd has 2 choices in dealing with the \$10,000 inducement payment for taxation purposes. It may choose to return one-tenth of the \$10,000 as income over the next 10 years, beginning with the 2043–54 income year.

Alternatively, it can choose to reduce the cost of the fit-out by \$10,000 for depreciation purposes. If Bizzy Bloom Ltd chooses this option, it will only be able to claim depreciation on the remaining \$2,000 of expenditure incurred on the fit-out.

Note that some land-related lease payments can be subject to more than one income-charging provision in the IT07. For example, lease premiums may be taxable under ss [CC 1](#) and [CC 1B](#) and contributions for fit-out costs under ss [CC 1B](#) and [CG 8](#). However, the tax treatment of amounts that are already subject to ss [CC 1](#) and [CG 8](#) do not change. The amount is included in income only once (s [BD 3\(6\)](#)) and the timing rule for lease inducement payments in s [EI 4B](#) does not apply to an amount that is income under ss [CC 1](#) and [CG 8](#) (s [EI 4B\(2\)](#)).

Law: IT07 ss [CG 8](#), [DB 64](#), [EE 55–EE 58](#), [EE 60](#), [YA 1](#) (“capital contribution”, “capital contribution property”)

Last reviewed on 31 December 2025

Partial use of depreciable property to produce income [¶13-174]

[¶13-174]

[Click to open document in a browser](#)

Depreciable property may be used partly to produce assessable income and partly for some other purpose. Alternatively, the asset may be used in a way that attracts fringe benefit tax. In either event, the depreciation loss for an income year is to be calculated using the formula:

$$\text{depreciation loss} \times \text{qualifying use days} \div \text{all days}$$

where:

depreciation loss is the full year's depreciation loss for the asset

qualifying use days is the number of days in the income year in which the asset was owned and used, or was available for use, to produce assessable income or to attract fringe benefit tax, and

all days is the number of days in the income year in which the asset is owned and used or is available for use.

The above formula does not apply if the property is a motor vehicle subject to subpart [DE](#), which addresses deductions for motor vehicles used for business purposes.

If days are not an appropriate unit of measurement, some other alternative must be adopted. The other unit of measurement can be time, distance or anything else.

There are 2 further methods for calculating the depreciation loss to be used when an asset which is used partially for business purposes is disposed of (s [EE 50\(5\)](#) and [\(9\)](#)).

Assets subject to apportionment under mixed-use rules

If depreciation deductions are subject to apportionment under the mixed-use asset rules ([¶10-035](#)) then those rules take precedence over s [EE 50](#).

Law: IT07 ss [DG 8\(3\)](#), [EE 50](#)

Last reviewed on 31 December 2025

Improvements to depreciable property [¶13-184]

[¶13-184]

[Click to open document in a browser](#)

Improvements may be made to depreciable property. For this purpose, an improvement is an alteration, extension or repair of the property that increases its capital value.

In the year in which the improvement is carried out, the costs of the exercise are treated as giving rise to depreciation loss for the improvements, separate from the property itself. As a consequence, the improvement costs are subject to a part-year calculation of a depreciation loss under an appropriate depreciation method. The part-year calculation commences with the month in which the improvement is first used or is available for use.

In the following income year, the treatment to be applied depends upon the method that had been adopted for the depreciable property. If either the DV method or the SL method has been adopted, the person may choose between:

- # continuing to treat the improvement as a separate item of depreciable property, or
- # treating the improvement as part of the depreciable property and:
 - # add the adjusted tax value of the improvement to the property's adjusted tax value at the start of the income year if the DV method is applied, or
 - # add the improvement's adjusted tax value and cost to those applicable to the property at the start of the income year if the SL method is applied.

Note that before the 2020–21 income year, special rules applied for improvements made on or after 20 May 2010. As a result of the removal of depreciation loading for items purchased after 20 May 2010, if the improvement was made, or if a binding contract to purchase or construct the improvement was entered into, or expenditure was incurred in relation to the purchase or construction of the improvement after 20 May 2010, the improvement had to be treated as a separate item of depreciable property if the item that was improved:

- # was a grandparented structure ([¶13-410](#)), or
- # was not a building, or
- # was not a used import car, or
- # was not an international aircraft, or
- # had not been used or held for use in New Zealand as depreciable property before the date of acquisition.

By treating such improvements as items of separate property, the items were not eligible for depreciation loading.

If the pool method has been adopted for the depreciable property, the improvements must continue to be treated as a separate item of depreciable property. Should the cost exceed the maximum pooling value permitted, the improvement and its adjusted tax value must be added to another pool.

Law: IT07 ss [EE 37](#), [EE 67](#)

Last reviewed on 31 December 2025

If use of depreciable property stops [¶13-194]

[¶13-194]

[Click to open document in a browser](#)

A person may stop using depreciable property as part of an income-earning process. It may also be the case that there is no intention for the person or an associate to use the property, and the likely disposal costs are expected to exceed the sale proceeds. In these circumstances, the person is conferred with a depreciation loss equal to the adjusted tax value of the property at the start of the income year. The adjusted tax value at the end of the year becomes zero.

This treatment does not apply to:

- # depreciable property that is subject to the pool method, or
- # buildings, with the exception of a building that meets all of the following conditions:
 - # the building is irreparably damaged and useless for deriving income
 - # the damage occurred in the 2005–06 or a later income year (or, if earlier, as a result of the February 2004 Manawatu floods or the July 2004 storms in the Bay of Plenty), and
 - # the damage was not caused by the person or an agent or associate of the person.

Law: IT07 s [EE 39](#)

Last reviewed on 31 December 2025

Depreciation recovery income [¶13-300]

[¶13-300]

[Click to open document in a browser](#)

Depreciation recovery income may arise:

- # on the disposal of depreciable property, or
- # on the occurrence of an event that must be treated as a disposal.

Depreciation recovery income is not calculated in relation to:

- # petroleum-related depreciable property ([¶13-550](#))
- # intangible property that is excluded depreciable property, other than software
- # land improvements that were excluded from a depreciation allowance under the Income Tax Act 1976
- # the disposal of intangible property, as part of an arrangement to acquire replacement intangible property. This restriction may apply where, for example, computer software is disposed of at a low trade-in value in exchange for an upgraded product. The loss on the trade-in is not recognised under the provisions on depreciation recovery income. Perhaps as a concession, the Commissioner is prepared to allow the cost of the upgrade to be added to the existing adjusted tax value and the depreciation loss to continue despite disposal (*Tax Information Bulletin* [¶49-104 Vol 4, No 9](#), May 1993 at 10)
- # a patent application that concludes because the patent is granted
- # geothermal wells treated as being no longer available for use at the end of their “proving” period. However, it is calculated if a disused well is brought back into production, or
- # property damaged by an emergency event for which a taxpayer receives insurance or compensation and the person chooses to defer recognition of the depreciation recovery income to a later year under ss [FP 8–FP 11](#) (see commentary below).

Consideration

As a general rule, the consideration taken into account when calculating depreciation recovery income is the consideration derived from the disposal (excluding GST), less any costs of disposal that are not otherwise allowed as a deduction. GST is excluded when determining the costs of disposal if the person has made an input tax credit claim in a GST return in relation to the cost. If the consideration derived is not the market value for the property, the consideration becomes that market value (excluding GST). Consideration is to be apportioned when depreciable property is disposed of along with other property, with the consideration derived for the depreciable property deemed to be its market value (excluding GST).

Specific provisions apply to:

- # the disposal of depreciable property subject to subpart [FC](#) ([¶13-600](#))
- # the disposal of depreciable property under a settlement of relationship property ([¶13-580](#))
- # certain depreciation recovery income events (see below).

Depreciation recovery income events

A number of specific events are treated as if they were disposals of depreciable property and therefore trigger a depreciation recovery income calculation.

Change of use

The change of use of an asset, such as when the asset starts to be used entirely for a private purpose, is treated as being equivalent to a disposal of that asset. Similarly, the relocation of depreciable property so that no deduction is allowed for an amount of depreciation loss is deemed to be a disposal. In both cases, the property's market value, excluding GST, is taken as the consideration derived.

A deemed disposal also occurs when there is a change in the use of an item that is commercial fit-out ([¶13-410](#)), or where there is a change in use for a building that contains commercial fit-out. Fit-out relating to commercial property may be depreciated, while fit-out relating to residential property is generally not depreciable. If a building has both commercial and residential use, the main use of the building must be determined. If the main use of the building is for commercial purposes, then fit-out may be depreciable ([¶13-410](#)). A deemed disposal will occur where the use of the fit-out or the building changes from commercial to residential. Conversely, there is a deemed acquisition for market value when the use of a building changes from residential to commercial. The deemed disposal or acquisition takes place on the first day of the following income year.

From 28 June 2018, s [EE 47\(2B\)](#) provides that the change of use (and therefore the depreciation income or loss) arises immediately before the entity's income becomes exempt.

Loss or theft

The loss or theft of depreciable property that is not recovered in the year of loss is treated as if it was a disposal of the property. The consideration derived is any insurance recovery or other compensation, excluding GST received by the taxpayer. If the asset is uninsured, it is treated as disposed of for no consideration. A person can write off a lost or stolen asset if it is uninsured, or the insurance proceeds received are less than the adjusted tax value.

If a lost or stolen asset that is insured is subsequently recovered, and ownership has passed to the insurer, the person may reacquire it for a cost and use it again in the person's business. In this case the property is depreciated in the usual way from a base value equal to its cost.

If a lost or stolen asset is subsequently recovered, is still owned by the person and will be used again or be available for use by the person in the person's business, the following applies:

- # the person is treated as having acquired the asset, on the date of recovery, for its adjusted tax value at the start of the income year in which it was lost or stolen
- # the person is treated as deriving depreciation recovery income equal to the amount previously written off for the lost or stolen asset.

The income year in which the depreciation recovery income is derived is:

- # if the person chooses, the income year in which the asset is lost or stolen, or
- # in any other case, the income year in which the item is recovered.

Irreparable damage

Irreparable damage to depreciable property (other than buildings and grandparented structures) is treated as being a disposal of that property. From 4 September 2010, a deemed disposal also occurs when buildings and grandparented structures are damaged. Specifically, the disposal takes place when damage occurs to a building or grandparented structure, or in the neighbourhood of the building or grandparented structure, that causes the item to be:

- # useless for the purpose of deriving assessable income, and
- # demolished or abandoned for later demolition.

The second item above is intended to cater for buildings that are affected by natural events such as earthquakes, but that are not irreparably damaged by the natural event. Where damage to the neighbouring area requires the building to be demolished, a deemed disposal will arise even if the building itself is not irreparably damaged. The provision is generic and is not restricted to assets affected by the Canterbury earthquakes (s [EE 47\(4\)](#)).

#Note: The definition of "building" excludes certain structures acquired before 30 July 2009, eg barns, car parks, powder drying buildings, which are collectively defined as grandparented structures ([¶13-410](#)) and certain commercial fit-out.

The consideration deemed to be derived is the total of the amount of the insurance, indemnity or compensation received for the item (excluding the amount of any GST if the amount received is deemed to be consideration for the supply of goods and services by a registered person under s 5(13) of the Goods and Services Tax Act 1985) and any proceeds received upon disposal (eg any scrap value).

Repossession

Repossession of depreciable property under a reservation of title clause is treated as a disposal occurring on the date of repossession. The consideration derived is cost, less the net amount paid, excluding GST and any refund made by the seller ([¶13-014](#)).

Unused geothermal wells brought into use

The bringing into use of a previously unused geothermal well after a depreciation loss was claimed will be treated as a disposal. The consideration derived from the event is the amount of the deduction for the depreciation loss allowed.

Acquisition under statutory authority

The acquisition of depreciable property under some statutory authority is treated as a disposal. The compensation received, less any costs, is deducted from the property's adjusted tax value. If that produces a negative amount, depreciation recovery income comprises that negative amount.

End or assignment of lease

A lessee who is treated as owning the improvements added to leased premises ([¶13-014](#)) is treated as having made a disposal of those improvements when the lease ends or is assigned. Any compensation received is deducted from adjusted tax value, and depreciation recovery income arises to the extent that it produces a negative amount.

Intangible property rights ceased

A disposal also occurs in relation to intangible property, when it is no longer possible to exercise the rights that constitute the property. If an insurance recovery or compensation is received, depreciation recovery income arises to the extent that its deduction from adjusted tax value produces a negative amount.

Permanent removal from New Zealand

The final event that is treated as a disposal is the permanent removal from New Zealand of an asset that qualified for a first year depreciation allowance under the Income Tax Act 1976.

Death

Specific provisions apply upon a person's death or when a distribution is made by an executor or trustee ([¶13-600](#)).

Calculation of depreciation recovery income

Under s [EE 48\(1\)](#), depreciation recovery income arises if the consideration received or attributed upon the disposal of an item of depreciable property or the occurrence of an event is more than its adjusted tax value. The amount of the depreciation recovery income is the lesser of:

- # the excess of consideration over the adjusted tax value on the date of the disposal or the occurrence of the event, or
- # the total of all depreciation loss for the property previously allowed as a deduction and the amount of any capital contribution received on or after 20 May 2010 which is subject to s [DB 64](#) ([¶13-164](#)).

In the event that a loss arises upon disposal, because the consideration is less than the adjusted tax value, a depreciation loss arises for the amount of that shortfall. That proposition is subject to the specific rules for buildings ([¶13-410](#)), and for petroleum assets ([¶13-550](#)).

From 4 September 2010, depreciation recovery income is deemed to be derived in the earliest income year in which the related consideration can be reasonably estimated. This allows taxpayers waiting for insurance or other compensation in relation to damaged property to defer recognition of depreciation recovery income until the amount of the compensation can be reasonably estimated. Inland Revenue (IR) has confirmed that this change is generic and is not limited to property affected by the Christchurch earthquakes (*Tax Information Bulletin* [¶1238-106 Vol 23, No 8](#), October 2011 at 66).

Insurance or compensation for repairable assets

When a taxpayer receives an amount of insurance or compensation for a depreciable asset (other than lost, stolen or irreparably damaged items), an adjustment is required to the asset's adjusted tax value. The amount of the insurance or compensation (less the cost of any repairs to the asset) must be deducted from the asset's adjusted tax value. If the asset's adjusted tax value becomes a negative amount in an income year, the negative amount is deemed to be depreciation recovery income for the taxpayer in that income year (s [EE 52](#)).

If the compensation is derived after the damaged property is disposed of, the compensation is treated as being derived immediately before the disposal.

A cap to the amount of depreciation recovery income under s [EE 52](#) applies to repairable assets affected by an emergency event (see below).

Depreciable property affected by an emergency event

From 1 April 2025, a number of special rules apply in relation to depreciable property affected by an emergency event. These are discussed below. Also see *Tax Information Bulletin* [¶1375-102 Vol 37, No 5](#), June 2025 at 17 for detail commentary and examples to illustrate the application of these rules.

Deferral of depreciation recovery income

Taxpayers may choose to defer the recognition of depreciation recovery income (suspended recovery income) in relation to depreciable property (other than depreciable intangible property) affected by an emergency event where the taxpayer receives an amount of insurance or compensation and plans to acquire replacement property. The suspended recovery income then reduces the amount of expenditure incurred on a replacement item for the purposes of determining the replacement item's cost or value.

Specifically, s [FP 8](#) applies for an income year (current year) where the taxpayer:

- # owns affected depreciable property in an affected class (defined in s [FP 3](#)) and receives compensation for the affected depreciable property that creates affected depreciation recovery income
- # has affected depreciation loss that is less than the affected depreciation recovery income
- # plans to acquire replacement property (defined in s [FP 3](#)), and
- # notifies the Commissioner (see below).

Depreciation recovery income must be calculated for each class, and s [FP 8](#) utilised on a class-by-class basis.

A taxpayer wishing to utilise s [FP 8](#) must notify IR by 30 April following the income year in which the emergency event occurred or the filing date for the tax return for the income year in which the compensation due can be reasonably estimated. Subsequent annual notifications are also required for each income year for which the taxpayer chooses to suspend depreciation recovery income. These are due on the same date as that for filing the annual return.

Depreciation roll-over relief for the Canterbury earthquakes and North Island floods

Note similar roll-over relief applied to the end of the 2023–24 income year for a taxpayer affected by the Canterbury earthquakes (s [EZ 23B](#)). QWBA [QB 14/04](#): “Income tax — Depreciation roll-over relief for Canterbury” outlines the depreciation roll-over relief provisions and gives a step-by-step approach, aided by examples, to demonstrate how the formula in s [EZ 23B\(4\)](#) works.

Also, similar relief applied for taxpayers affected by the North Island flooding events in 2023 (s [EZ 23BE](#)).

Assets that are uneconomic to repair

A deemed disposal and reacquisition occurs when certain depreciable assets are assessed as uneconomic to repair due to damage caused by an emergency event if all of following circumstances apply (s [FP 14](#)):

- # the asset is damaged by an emergency event
- # the taxpayer is entitled to insurance or compensation for the damage to the property
- # the payer of the insurance or compensation assesses that the asset is uneconomic to repair, and
- # the damage is not:
 - # irreparable damage to property that is not a building or grandparented structure, or
 - # damage to a building or grandparented structure, or the neighbourhood, that causes the building or grandparented structure to be useless for deriving assessable income and demolished or abandoned for later demolition.

The deemed disposal takes place on the date of the emergency event that caused the asset to become uneconomic to repair, and for the amount of the insurance payment or compensation, while the reacquisition is deemed to take place for nil consideration.

Depreciation rollover relief under ss [FP 8–FP 11](#) can apply to assets which are assessed as being uneconomic to repair. In addition, a timing provision (s [EZ 73](#) or former s [EZ 23F](#)) can also be utilised by taxpayers to defer the recognition of depreciation recovery income (see below).

Note similar relief applied to the 2023–24 income years to damage caused by a Canterbury earthquake (s [EZ 70](#) and former s [EZ 23C](#)). Also, similar relief applied to the end of the 2027–28 income year for taxpayers affected by the North Island flooding events (s [EZ 83](#)).

Cap on depreciation recovery income where insurance received for repairable assets

Where a taxpayer receives an amount of insurance or compensation for a repairable asset affected by an emergency event, the amount of depreciation recovery income is capped at the amount of depreciation deductions claimed in respect of the asset (s [FP 15](#)). The provision does not apply to assets that are assessed as uneconomic to repair (see above). In the absence of the provision, taxpayers would potentially be subject to tax on a higher amount of depreciation recovery income under s [EE 52](#).

Optional timing rule for assets that are uneconomic to repair or irreparably damaged

An optional timing rule (s [FP 17](#)) exists for assets for which the following applies:

- # the asset is affected by an emergency event, and
- # the asset is either subject to s [FP 14](#), or is an irreparably damaged asset (apart from buildings and grandparented structures), or is a building or grandparented structure that has been damaged and rendered useless for deriving assessable income and that is to be demolished or abandoned for later demolition, and
- # the owner of the asset is entitled to an amount of insurance or compensation for the damage.

If the above requirements are met, related income and deductions is attributed to the earlier of:

- # the first income year in which the insurance receipt and the consideration received from the disposal is derived or able to be reasonably estimated, and the cost of disposing of the asset is incurred or able to be reasonably estimated, and

the income year that is 5 income years after the income year in which the emergency event first occurred.

Once a taxpayer elects to use the provision for a particular asset, all assets that meet the requirements must be treated in the same way.

Note similar provision applied to the end of the 2023–24 income year for taxpayers affected by the Canterbury earthquakes (s [EZ 73](#) and former s [EZ 23F](#)). Also similar relief applied for taxpayers affected by the North Island flooding events in 2023 (s [EZ 86](#)).

Optional timing rule for assets which are damaged but repairable

A similar rule to the one above may be applied for assets that are damaged by an emergency event but can be repaired (s [FP 18](#)).

If the taxpayer chooses to apply this provision, the recognition of income from the insurance receipt and the deduction for repairs costs is attributed to the earlier of:

- # the first income year in which the repair cost is incurred or is able to be reasonably estimated and the insurance receipt is derived or able to be reasonably estimated, and
- # the income year that is 5 income years after the income year in which the emergency event first occurred.

Once the provision is chosen, it must be applied to all assets which qualify.

Note similar provisions applied to the end of the 2023–24 income year for taxpayers affected by the Canterbury earthquakes (s [EZ 74](#) and former s [EZ 23G](#)). Also, similar relief applied for taxpayers affected by the North Island flooding events in 2023 (s [EZ 87](#)).

Available for use and restricted access

Generally, for an asset to be depreciated it must be available for use ([113-044](#)). Section [FP 16](#) which was inserted in 2025 applies to treat items as being available for use during the period of restricted access because of an emergency event provided it was available for use immediately before the restriction was imposed. As a result, depreciation can be claimed for the period where an asset was not able to be used because of access restrictions.

Note a similar provision applied for assets affected by the North Island flooding events in 2023 (s [EZ 85](#)).

Optional adjustment to assets under thin-capitalisation rules

Section [FP 19](#) provides an optional adjustment to how group assets are measured for the purposes of the thin-capitalisation rules when assets have been damaged by an emergency event. A person who chooses to use this option is required to notify the Commissioner and provide certain information.

Note a similar provision applied for assets affected by the North Island flooding events in 2023 (s [FZ 7B](#)).

Property partly used for business

Provision is made in s [EE 49](#) for the calculation of depreciation recovery income in relation to a motor vehicle or other asset which has been only partly used for the purpose of deriving assessable income. If the consideration derived upon disposal does not exceed the cost of the asset, the depreciation recovery income is calculated according to the formula:

$$(\text{all deductions} \div (\text{base value} \# \text{adjusted tax value})) \times \text{amount of depreciation recovery income}$$

where:

all deductions is the total of prior deductions allowed for depreciation loss for the asset

base value is the depreciable cost of the asset

adjusted tax value is the adjusted tax value of the asset on the day of disposal, and

amount of depreciation recovery income is the depreciation recovery income for the asset (being the lesser of the excess of consideration derived over adjusted tax value or the aggregate of prior deductions for depreciation loss).

Depreciation deductions for assets which are subject to the mixed-use rules ([¶10-035](#)) are calculated under those rules; however, those rules do not affect the application of s [EE 49](#) on disposal of the asset.

With effect from 1 April 2017, for the 2017–18 and later income years, there is no depreciation recovery income for a motor vehicle that is dealt with under the motor vehicle expenditure rules in subpart [DE](#) if the taxpayer has elected to use the kilometre rate method in s [DE 12](#).

Law: IT07 ss [CG 1](#), [CZ 25C](#), [DZ 20B](#), [DZ 21](#), [EE 44](#)–[EE 53](#), [EZ 23B](#)–[EZ 23G](#), [EZ 70](#)–[EZ 74](#), [EZ 83](#)–[EZ 87](#), [FZ 7B](#), [FP 14](#), [FP 15](#), [FP 16](#), [FP 17](#), [FP 18](#), [FP 19](#)

Last reviewed on 31 December 2025

Depreciation — aircraft [¶13-380]

[¶13-380]

[Click to open document in a browser](#)

The depreciation rules contain various specific rates which relate only to aircraft. An aircraft that is:

- # self-propelled
- # fixed wing
- # not an international craft
- # not used for top-dressing or spraying, and
- # not a helicopter

has an economic rate of 10% DV or 7% SL. The rate is set by legislation, rather than by Commissioner's determination. The 20% uplift factor can be applied to these aircraft if purchased on or before 20 May 2010.

International aircraft are also depreciated at a rate set by legislation, rather than by the Commissioner's determination. The annual rate for international aircraft is specified as being 10% SL or 15% DV. There is no uplift factor applied to this rate.

Other aircraft will be depreciated at economic rates determined by the Commissioner.

Aircraft engine overhaul deductions

Changes have been made relating to the timing of aircraft engine overhaul deductions. From 1 April 2017, the engine overhaul component is no longer treated as part of the aircraft as a whole for depreciation purposes. The cost of the aircraft engine overhaul component and subsequent overhaul of that component is an allowable deduction, allocated to an income year on a time-in-service basis. See further at [¶10-127](#).

Law: IT07 ss [DZ 22](#), [EE 29\(2\)](#), [EE 31\(2\)\(c\)](#), [EZ 23BA](#)

Last reviewed on 31 December 2025

Amalgamations and depreciation [¶13-390]

[¶13-390]

[Click to open document in a browser](#)

Acquisition not part of a resident's restricted amalgamation

Special rules apply to determine the cost base and the rate of depreciation to be applied by an amalgamated company that acquires property under an amalgamation that is not a resident's restricted amalgamation and where the amalgamating company is associated with the amalgamated company. In these circumstances, the depreciable cost for the amalgamated company is usually the lesser of:

- # the market value of the property at the time of acquisition by the amalgamated company, or
- # the cost price of the property in the hands of the amalgamating company.

In the case of an asset (other than a building or petroleum-related depreciable property) that was not acquired to produce assessable income, but which is subsequently so applied, the depreciable cost for the amalgamated company is the lesser of:

- # the market value at the time of change of use by the amalgamating company, or
- # the market value when the amalgamating company first committed the asset to business use.

There is scope for the Commissioner to accept the use of cost by the amalgamated company as the depreciable cost if the property is not depreciable intangible property and the Commissioner accepts that it is appropriate to use cost. In exercising their discretion to accept cost, the Commissioner will consider similar factors to those set out in standard practice statement [SPS 07/05](#), "Transfer of depreciable property between associated persons — section [EE 33](#) of the Income Tax Act 2004" ([¶13-400](#)). Also, if the amalgamating company derives assessable income from the transfer of the property to the amalgamated company (other than as depreciation recovery income), the amalgamated company may use cost as the depreciable cost.

The rate of depreciation to be applied by the amalgamated company cannot exceed the rate applied by the amalgamating company, if the amalgamated company adopts the same depreciation method as the amalgamating company. If a different method is adopted, the rate applied by the amalgamated company cannot exceed a rate equivalent to the one applied by the amalgamating company upon application of the rates of equivalence specified in [Sch 10](#).

Resident's restricted amalgamation

A different outcome applies where depreciable property becomes vested in another company under a resident's restricted amalgamation. When New Zealand resident companies amalgamate, they are treated as one company and all assets, liabilities, property, rights, powers and privileges of the amalgamating companies are vested in the new amalgamated company. The Commissioner accepts that there is no depreciation recovery income when assets are transferred on a resident's restricted amalgamation ([¶20-106](#)).

Law: IT07 s [EE 41](#)

Last reviewed on 31 December 2025

Restriction on depreciation deduction for associated person transfers [¶13-400]

[¶13-400]

[Click to open document in a browser](#)

The purchaser of an asset from an associated person may be restricted to the deduction for depreciation losses that the vendor would have been allowed. This is because the depreciable cost for the purchaser may be the cost of the asset for the vendor and not the purchaser's actual cost. In addition, the purchaser may be unable to adopt a depreciation rate exceeding the rate applied by the vendor.

The restriction potentially applies to a purchaser who acquires an item of depreciable property from an associated person. The restriction extends to an asset that the vendor elected is not to be treated as depreciable property.

The restriction does not apply if:

- # the property is not depreciable intangible property and the Commissioner considers that it is appropriate that the purchaser should be able to use the purchaser's cost as the depreciable cost. The Commissioner's position is that they must give written approval to any use of the purchaser's cost
- # the vendor is assessable upon sale of the asset other than through the recognition of depreciation recovery income, or
- # the purchaser acquires the property on a settlement of relationship property to which s [FB 21](#) applies.

Commissioner's permission to use purchaser's cost

The Commissioner has the power to decide whether the use of the purchaser's cost is appropriate.

A refusal by the Commissioner to allow depreciation to be calculated on the basis of the purchaser's cost was overruled in *C of IR v Lys* ([1988](#)) [10 NZTC 5.107](#). The case concerned the sale of farming assets at fair market value to a family trust for estate planning purposes. The Commissioner acknowledged that, generally, the restriction to the vendor's cost is not enforced in respect of arm's length transactions. In light of that practice, the High Court proceeded to enquire whether the present transfer had occurred on an arm's length basis. The Court thought that the sale had been in accordance with normal commercial and conveyancing practices, since there had not been, for example, any retention of ownership by the vendor. The sale had been arm's length, so that the purchaser could claim depreciation on the basis of its cost.

Standard practice statement [SPS 07/05](#), "Transfer of depreciable property between associated persons — section [EE 33](#) of the Income Tax Act 2004" sets out the factors which the Commissioner will consider when deciding whether to allow a purchaser acquiring an asset from an associated person to depreciate the asset based on the purchaser's cost.

In deciding whether to exercise discretion the Commissioner will consider all relevant factors in the context in which the transfer has taken place, including a full analysis of the following factors:

- # whether the transfer is genuine
- # whether the transfer is made at no more than market value
- # whether there is a permanent transfer of legal ownership of the property
- # whether the associated vendor (or its controllers) continues to retain virtual ownership of, or a beneficial interest in, the transferred property through:
 - # power over or control of the associated purchaser
 - # a leaseback agreement, or
 - # continued actual use of the property for income-producing purposes, and
 - # the commercial or non-tax reasons for transfer of the asset.

For the purposes of the test, the concept of “control” is based on accounting principles by reference, in the most part, to NZIAS. The test will look at the aspects of the vendor’s power to control the purchaser, and the extent to which the vendor continues to have an economic interest in the property.

Effect of restriction

Depreciable cost for the purchaser becomes the lesser of:

- # the price paid by the purchaser, or
- # the price originally paid by the vendor for the asset (or, if applicable, the market value of the asset at the time the associated person first committed it to business use).

If the asset purchased was first used by the vendor for a private purpose, the purchaser’s depreciable cost is the lesser of the purchaser’s cost or the vendor’s cost.

The restriction in the second place operates in relation to the rate of depreciation that the purchaser may apply. If the purchaser adopts the same method as the vendor, the purchaser’s rate cannot exceed the rate applied by the vendor. If a different depreciation method is adopted, the purchaser’s rate must not exceed a rate equivalent to that applied by the vendor as determined under the rates of equivalence set out in [Sch 10](#). If the property in question is fixed life intangible property, the rate applicable under that concept is the purchaser’s rate. Note, however, that this does not limit the purchaser to the vendor’s depreciation rate where the rate has been increased by statute.

The above restrictions do not apply when the disposal is a bequest of property and the disposal takes place at market value under subpart [FC](#) of the IT07 ([¶13-600](#)).

Law: IT07 s [EE 40](#)

Last reviewed on 31 December 2025

Buildings and depreciation [¶13-410]

[¶13-410]

[Click to open document in a browser](#)

Buildings with an estimated useful life of 50+ years: 2024–25 income year onwards

The depreciation rate for buildings has been subject to a number of changes over the years. All buildings with an estimate useful life of 50 years or more (both residential and non-residential) are subject to a 0% depreciation from the 2024–25 income year. There are some exceptions where the legislation carves out specific assets, such as grandparented structures (see below) and special excluded depreciable property (buildings that are not listed in [Sch 39](#)) from the 0% depreciation rate.

This means that the ability to depreciate commercial and industrial buildings has been removed from 1 April 2024 with application for the 2024–25 and later income years.

The 0% depreciation rate applies for all buildings irrespective of when they were acquired. The estimated useful life is determined on a whole-of-life basis rather than remaining-life basis. The Commissioner is no longer able to set special deprecation rates for long-lived buildings (s [EE 35\(2\)](#)).

Owners of a building acquired in or before the 2010–11 income year are able to deem a proportion of the building's adjusted tax value as the cost of commercial fit-out and continue to depreciate the fit-out separately under s [DB 65B](#). Deductions under former s [DB 65](#) and s [DB 65B](#) (which was inserted in 2024) are included in calculating depreciation recovery income for buildings sold from the 2024–25 income year.

Commercial fit-out that does not form part of a building can be separately identified and depreciated at the appropriate rates (see below).

Unit titles

Clarification of the definition of “building” for the purposes of the depreciation rules includes a part of a building owned under a unit title. The definition is amended effective 1 April 2020.

Buildings with an estimated useful life of 50+ years: Before the 2024–25 income year

Before the 2011–12 income year, depreciation was generally allowed on all buildings at their economic rate, which was determined by the date of acquisition. From the 2011–12 income year, all buildings with an estimated useful life of 50 years or more had an annual depreciation rate of 0%. Other buildings remained depreciable.

However, as part of the Coalition Government's package to cushion the economic impact of the COVID-19 virus, depreciation was re-introduced for *commercial* and *industrial* buildings from the 2020–21 income year. Thus, for the 2020–21 to the 2023–24 income years, only residential buildings with an estimated useful life of 50 years or more had an annual depreciation rate of 0%. Non-residential buildings with an estimated useful life of 50 years or more had a depreciation rate of 2% DV or 1.5% SL. QWBA, [QB 21/05](#), “The application date for the depreciation of commercial buildings” clarified that the relevant date for the reintroduction of depreciation for commercial buildings was from the beginning of the 2020–21 income year for all taxpayers, including those with early balance dates.

A “[non-residential building](#)” was any building that was not a “[residential building](#)”. A “[residential building](#)” was defined as a dwelling, and included a building intended to ordinarily provide accommodation for periods of less than 28 days at a time, if the building, together with other buildings on the same land, had less than 4 units for separate accommodation. A “[dwelling](#)” is defined as any place used predominantly as a place

of residence or abode, but excludes commercial dwellings such as hotels, motels, hospitals, rest homes, serviced apartments, etc. Thus, the definition encompasses houses and apartments that are owner-occupied or subject to residential tenancies. The additional inclusion in the “[residential building](#)” definition of certain buildings providing short-stay accommodation was to ensure such buildings (eg a bach an owner used but also rented out on a short-term basis, and buildings used exclusively for short-term accommodation provided by owners such as some Airbnb properties) were within the definition. They may already fall within the definition of “[dwelling](#)”, but their specific inclusion within the “[residential building](#)” definition made it clear they remained depreciable at the 0% rate. The requirement that there be less than 4 units ensured larger commercial operations were excluded from being residential buildings.

Other buildings

For buildings other than those with an estimated useful life of 50 years or more, the annual rate will usually be the building’s economic rate.

Although residential buildings (before 1 April 2020, buildings) with an estimated useful life of 50 years or more have a 0% annual rate, they are still considered depreciable property so that a disposal may give rise to depreciation recovery income.

To commence (or re-commence) depreciation deductions, the cost or adjusted tax value of the non-residential building must be ascertained.

The adjusted tax value at the beginning of the 2020–21 income year for non-residential buildings that were owned in the 2010–11 income year is:

- # the adjusted tax value at the end of the 2010–11 income year reduced by the amount of any deductions taken under former s [DB 65](#) (see below), plus
- # non-deductible capital expenditure incurred on the building from the end of the 2010–11 income year to the start of the 2020–21 income year.

Where non-residential buildings were acquired after the end of the 2010–11 income year, the opening tax value is the cost plus non-deductible capital improvements made to the building from the time of acquisition up until the beginning of the 2020–21 income year.

For taxpayers who wish to adopt the SL method, the cost for depreciation purposes is the opening adjusted tax value if this is different to the original cost.

QWBA [QB 21/11](#), “Elections not to depreciate commercial buildings” sets out the position for taxpayers making an election to not depreciate their commercial building since the depreciation rate of 0% was removed from commercial buildings with effect from the 2021 income year. The item covers the tax position where a taxpayer makes an election to treat their commercial building as not being depreciable property. The election is irrevocable and the taxpayer is bound by that election until the building is disposed of. For the election to be effective, the taxpayer must make it “in writing”. A taxpayer who does not make an election and who claims a depreciation loss for their commercial building must continue to depreciate that building at the rate the Commissioner has set. A taxpayer who does not make a written election and has never claimed a deduction for a depreciation loss on their commercial building may make a retrospective election not to depreciate that building. The retrospective election will apply from the date the taxpayer acquired the building. Importantly, a retrospective election cannot be made after a taxpayer has claimed a deduction for depreciation loss.

Land and apportionment

Land is not depreciable property and therefore does not attract a depreciation loss that may be allowed as a deduction. This exclusion may perhaps be taken to reflect the notion that depreciation is a deduction in recognition of an asset’s contribution to the earning of income and the eventual cost of its replacement. By its nature, land cannot be consumed and therefore has no replacement cost. In Case G11 ([1985](#)) 7 NZTC [1,035](#), it was said that land, as such, does not depreciate.

On the other hand, buildings, fixtures and improvements to land (as listed in [Sch 13](#) — see ¶13-500) are depreciable property if they might reasonably be expected to decline in value while used or available for use in deriving assessable income, or in carrying on a business for the purposes of deriving assessable income.

To give effect to the exclusion for land, it is necessary for depreciation purposes to make some apportionment between the cost of the land and any buildings or other improvements situated on the land. An acceptable method of apportionment is to take the most recent council rating valuation for the property and apply the following formula:

$$(\text{value of improvements (buildings)} \div \text{capital value (land and buildings)}) \times \text{purchase price} = \text{cost of buildings}$$

Example:

Lotta paid \$490,000 for a rental property. The chattels included in the purchase are carpets, curtains, light fittings, stove and a dishwasher. The rating valuation gives the following figures:

	\$
Value of land	350,000
Value of improvements	<u>100,000</u>
Total capital value	<u>450,000</u>

The improvements include the house, driveway and fences but not the chattels.

The steps followed by Lotta to determine the opening tax values of the house and chattels are the following:

1. Lotta considers the age and condition of the chattels and reviews the prices for similar items in classified advertisements. Lotta determines to adopt market values of \$1,900 for carpets, \$1,500 for curtains, \$600 for light fittings, \$750 for the stove and \$800 for the dishwasher. This gives a total cost of \$5,550.
2. The purchase price for the land and house is therefore:

$$\$490,000 + \$5,550 = \$484,450.$$

3. The cost of the house is calculated as follows:

$$\$484,450 \times \frac{\$100,000}{\$450,000} = \$107,656.$$

This method uses the figures from the registered valuation or rating valuation to establish the proportions of the land and building costs in the total purchase price. The depreciation loss is not calculated on the building cost as shown in the valuation, being \$100,000 in this case.

The exclusion for land is subject to one modification. Improvements that are made to the land may give rise to a depreciation loss that is allowed as a deduction ([¶13-500](#)).

Commercial fit-out

There are 2 parts to the definition of “[commercial fit-out](#)”. Firstly, “[commercial fit-out](#)” means plant and other items that are attached to commercial buildings, but that are not used inside a dwelling within the commercial building or do not form part of a dwelling inside a commercial building. Secondly, the definition excludes items that are holding up the building (structural) or that are used to weather-proof the building (with the consequence that these items will not be depreciable).

The first part of the definition addresses the issue where an item is used for both a commercial building and a dwelling within the commercial building. (Note that “[commercial building](#)” and “[dwelling](#)” are defined terms.) In this case the dominant purpose of the building must be determined.

Determining whether the dominant purpose is for residential or commercial use will depend upon the nature of the building. One method to determine dominant purpose may be to compare the floor area of the residential part or the commercial part with the total floor area of the building (*Tax Information Bulletin* ¶231-111 Vol 23, No 1, February 2011 at 67).

Example 2:

A building is mainly commercial but contains a small residential unit on the top floor. The items of fit-out which are shared between the commercial and residential areas (eg items of fit-out in the lobby) can be depreciated. However, items of fit-out which are specifically part of the residential unit will not be depreciable.

Interpretation statement, [IS 22/04](#), “Claiming depreciation on buildings” discusses commercial fit-out and how to distinguish from plant for depreciation purposes ([IS 22/04](#), paras 57 to 62). Whether a building is a “commercial building” is relevant to whether the fit-out of that building can be depreciated separately.

Concessionary rule

When the statutory 0% rate was introduced for buildings with an estimated useful life of more than 50 years from the 2011–12 income year, a concessionary rule was introduced for commercial building owners who had not previously separated out items of fit-out from the building itself. For the 2011–12 to 2019–20 income years, s [DB 65](#) allowed a deduction of 2% of the adjusted tax value of the building (after certain adjustments) on a SL basis, calculated in accordance with the following formula:

$$\text{starting pool} \times 0.02 \times (\text{whole months} / 12)$$

“Starting pool” was, in turn, calculated as follows:

$$(0.15 \times \text{building atv}) \# \text{fit-out atv}$$

The starting pool was essentially 15% of the building’s adjusted tax value for the 2010–11 income year less the adjusted tax value of any fit-out for the 2010–11 income year that related to the building, was acquired subsequent to the purchase of the building, and had been separately identified and depreciated.

“Whole months” was the number of months for which the property was used or available for use in deriving assessable income or carrying on a business.

The deduction applied for the 2011–12 to 2019–20 income years, until the building was disposed of.

Example:

Mariposa Ltd purchased a commercial building for \$1,000,000 in April 2007. At the time of purchase Mariposa Ltd did not separately identify and depreciate items of commercial fit-out. The building has been depreciated at 2% SL.

During April 2008, the company installed an air-conditioning system at a cost of \$30,000. The air-conditioning system was recorded as a separate asset in the books and depreciated at 24% SL.

As at 31 March 2011, the adjusted tax value of the building was \$920,000 and \$8,400 for the air-conditioning system.

Under s [DB 65](#) Mariposa Ltd could claim additional depreciation in relation to the building. The amount of the deduction for the 2011–12 income year was calculated as follows:

$$\text{starting pool} \times 0.02 \times (\text{whole months} / 12)$$

“starting pool” was calculated as 15% of the building’s adjusted tax value at the end of the 2010–11 income year less the adjusted tax value of the air-conditioning system at the end of the 2010–11 income year:

“whole months” in this case was 12 as the building had been applied towards the company’s business for the whole of the 2011–12 income year.

$$(15\% \times \$920,000) \# \$8,400 = \$129,600$$

The depreciation deduction was therefore: $\$129,600 \times 0.02 (12 / 12) = \$2,592$.

QWBA [QB 13/01](#): “Depreciation of commercial fit-out”, the Commissioner was specifically asked whether a taxpayer can re-characterise a part of a commercial building into components of commercial fit-out to claim depreciation on those items when they had not been identified as separate depreciable property at the time the taxpayer acquired the property. The Commissioner’s view is that where commercial fit-out was acquired at the same time as the building and depreciated as part of the building, there is no ability to later re-characterise that commercial fit-out as separate from the building. Section [DB 65](#) set out the only way in which such items could continue to be depreciated when buildings were depreciated at 0%.

Commissioner's policy statement on claiming depreciation on buildings

Note: Amendments made in 2024 affect this statement. The legislation was amended by:

- # removing depreciation deductions for commercial and industrial buildings for the 2024–25 and later income years
- # inserting a new definition of “building” confirming that a building includes part of a building where the building is separated into unit titles, and
- # repealing of the definitions of “residential building” and “non-residential building”.

Interpretation statement [IS 22/04](#), “Claiming depreciation on buildings” provides guidance on when depreciation can be claimed by building owners. The interpretation statement updated and replaced [IS 10/02](#), “Meaning of ‘building’ in the depreciation provisions”.

In [IS 22/04](#), IR confirms that for the purposes of the depreciation provisions, the ordinary or conventional meaning of “building” continues to be appropriate and should be used. This was accepted by the High Court in *Mercury NZ Ltd v C of IR* ([2019](#)) [29 NZTC ¶124-014](#). Following the ordinary or conventional meaning, a building:

- # is a structure of considerable size
- # is permanent (intended to last and to remain in one location, for a long period of time)
- # is normally fixed to the land (but may not be legally part of the land) on which it stands
- # is enclosed by a roof and walls
- # can function as a separate structure (but may not necessarily be physically separate).

The interpretation statement states that a non-residential building is defined to exclude a residential building, which is based on the concept of a dwelling. However, it also includes smaller scale operations where a building may provide short-stay accommodation (see discussion above). Residential rental properties remain subject to a 0% depreciation rate.

In contrast, buildings that supply accommodation on a commercial scale, like hotels and motels, fall within the definition of a non-residential building. As a result, a “non-residential building encompasses commercial and industrial buildings that may provide residential accommodation on a commercial scale.

Where a building is used for both residential and non-residential purposes, it will only have a depreciation rate greater than 0% if the building is predominantly, or mainly, used for non-residential purposes. The interpretation statement refers to this as “an all or nothing test” ([IS 22/04](#), paras [46](#) to [48](#)).

A building owner who makes improvements to a building can choose to treat those improvements as part of the building, or as a separate item of depreciable property. However, in the year in which the improvement is made, it is treated as a separate item under s [EE 37\(2\)](#). The reason for this is that the taxpayer can claim part year depreciation loss for the improvement. In the following income years, the building owner can either continue to treat the improvement as a separate item or as part of the building for depreciation purposes ([IS 22/04](#), paras [113](#) to [115](#)).

Grandparented structures

Special rules were applied to grandparent certain assets that were purchased, or for which a binding contract was entered into, on or before 30 July 2009 (the date [IS 10/02](#) first applied). Such items were excluded from the former definition of “building”. If these grandparented structures were sold after 30 July 2009, they lost their status as a grandparented structure and were required to be treated as a building by the new owner. However, these special rules only applied to the end of the 2019–20 income year. With effect from the 2020–21 income year, the provisions relating to grandparented structures have been repealed as part of the changes made to reinstate depreciation on non-residential buildings.

Grandparented structures were items that were acquired or for which a binding contract was entered into on or before 30 July 2009 and that were one of the following:

- # barns, including barns (drying)
- # car parks (buildings)
- # chemical works
- # fertiliser works
- # powder drying buildings
- # site huts.

The Commissioner issued *Determination DEP 79*: “Remedial matters relating to the depreciation of buildings” and *Determination DEP 81* “Fertiliser storage facilities and remedial matters relating to the depreciation of buildings and grandparented structures” which applied for the 2012 and subsequent income years. These determinations set out the relevant depreciation rates for the items listed above.

Guidance on particular buildings

Buildings with prefabricated stressed-skin insulation panels

QWBA [QB 17/01](#), “Depreciation treatment for ‘Buildings with prefabricated stressed-skin insulation panels’” provides that buildings will fall within the asset class “Buildings with prefabricated stressed-skin insulation panels” where:

- # The structural framework of the building is of a material other than sandwich panels and the building can be categorised as a “shade-roof structure”.
- # The structural framework of the building is of a material other than sandwich panels and no less than 75% of the exterior cladding of the building is predominantly made using sandwich panels. In calculating this 75% threshold:
- # The windows and doors of a building are ignored and treated as being constructed of the same material as that which surrounds them.
- # Unless the roof of a building is constructed solely or partly using sandwich panels, the roof is ignored and the calculation focuses only on the exterior cladding. Where the roof is constructed solely or partly using sandwich panels, the calculation should focus on the square metre area of the exterior cladding of the entire building (ie the square metre area of both the side walls and roof).
- # Sandwich panels form the core of the structural framework of the building; the building is constructed solely of interlocking sandwich panels without any other form of frame construction (steel, for instance).

Chemical works buildings

A specific rate is set for chemical works buildings, which have an estimate useful life of 33.3 years. The depreciation rate is 3% (SL) or 4.5% (DV). This rate will apply where the chemical works building was acquired after 30 July 2009 ([IS 22/04](#), para [110](#)).

Buildings with steel framing

A building with steel, or steel and timber, framing acquired after 19 May 2005 had a depreciation rate of 3% (DV) or 2% (SL) applied to the 2010—11 income year. From the 2010—11 income year, the rate of a building of that construction was 0% like all other buildings. From the 2020—21 income year, owners of steel framed, or steel and timber framed buildings will have to apply the default rate for non-residential building of 2% (DV) or 1.5% (SL) as no specific depreciation rate has been set for these buildings.

Rental properties

In the case of rental properties, the Commissioner has indicated that their preferred approach is to apply depreciation to the building as a whole (excluding such things normally regarded as chattels such as electric stoves and carpet). The Commissioner has indicated that they do not accept the practice of “breaking up” rental properties into smaller components in order to claim higher depreciation deductions.

Interpretation statement IS 10/01 – Residential rental properties

Interpretation statement [IS 10/01](#), “Residential rental properties — depreciation of items of depreciable property” states that an item of property must be classified as being either part of a building or a separate item of depreciable property. If an item is part of the building, it cannot be separately depreciated, but it can be depreciated with the building (note that residential buildings with an estimated useful life of 50 years or more are depreciated at a statutory rate of 0% from the 2011–12 income year: see above). The interpretation statement sets out 3 steps to be followed to determine whether a particular item is part of, or separate from, the building:

- # Determine whether the item is in some way attached or connected to the building. If the item is not attached, it will not be considered as part of the building. An item is not considered to be attached if it is only attached, plugged or wired into an electrical, gas or water outlet.
- # Determine whether the item is an integral part of the residence such that the building would be incomplete or unable to function without the item. If the item is an integral part of the property, the item will be part of the building. If not, the next step must be considered.
- # Determine whether the item is built-in or attached or connected such that it can be viewed as being part of the “fabric” of the building (the degree of attachment, whether the item can be removed easily, and the level of damage in doing so). If the item is part of the “fabric” of the building, it will form part of the building.

Plumbing and piping, electrical wiring, internal walls, internal and external doors, certain garage doors, fitted furniture (built into the wall), kitchen cupboards, bathroom fittings and furniture, linoleum, and wall and floor tiles are all considered to be part of the building and not separate items of depreciable property.

The release of interpretation statement [IS 10/01](#) was followed by the release of depreciation determination [DEP 80](#): “Residential Rental Property Chattels” on 10 November 2011. The determination provides a list of residential rental property chattels that is consistent with the Commissioner’s stance outlined in [IS 10/01](#). The determination applies from 1 April 2011.

Healthy home standards

The Healthy Home standards are minimum requirements for residential rental homes for smoke alarms, heating, insulation, ventilation, draught-stopping, drainage and moisture ingress set by regulation under the Residential Tenancies Act 1986. The regulations were introduced in 2 stages in 2016 (the 2016 regulations that applied from 1 July 2019) and 2019 (the 2019 regulations that apply progressively when there are changes in tenancies after 1 July 2021 and will be universally applicable from 1 July 2024).

Determining whether costs incurred to meet these standards are deductible requires determining whether the expenditure is capital or revenue. This requires identifying the relevant asset and then the character of the expenditure is gauged against that asset.

QWBA, [QB 20/01](#), “Can owners of existing residential rental properties claim deductions for costs incurred to meet Healthy Homes standards?” adopts the 3-step test above from [IS 10/01](#), “Residential rental properties — depreciation of items of depreciable property”, to identify what the relevant asset is. The item then adopts the approach in [IS 12/03](#), “Income tax — deductibility of repairs and maintenance expenditure — general principles” ([¶10-840](#)), to determine the nature and extent of the work done to the asset. The tax treatment of expenditure incurred to meet each of the Healthy Homes standards is then considered.

The QWBA confirms that costs of a revenue nature are generally deductible in the income year they are incurred. These may include the costs of:

- # repairing items that would otherwise meet the standards if operational or in a reasonable condition
- # minor additions or alterations not involving repairs that do not change the character of the building, such as:
- # some costs of meeting the draught-stopping standards, such as blocking unused chimneys or fireplaces (if sufficiently attached to the building)
- # making mechanical ventilation systems compliant, and

- # some costs of meeting the moisture ingress and drainage standard in respect of ground moisture barriers
- # replacing items on a like-for-like basis in the future where they have previously been treated as part of the building, and
- # record keeping and providing information in tenancy agreements.

Capital costs will generally result in a deduction for a depreciation loss unless they are for something that is part of the residential rental building. The cost of items that are part of the building is added to the building's cost and depreciated at the same rate as the building — generally 0%.

Items that are likely to be part of the building include:

- # smoke alarms
- # insulation
- # ducted or multi-unit heat pumps
- # flued fires (wood or gas)
- # new or replacement openable windows
- # new exterior doors
- # most extractor fans or rangehoods
- # ground moisture barriers, and
- # drainage systems for storm, surface and ground water and drainage of water from roofs.

Capital costs for some items acquired that are not part of the building will be either

- # depreciated over multiple income years using a rate set out in Depreciation Determination DEP 80: *Residential rental property chattels* for assets of that type, or
- # depreciated at a rate of 100% in the income year the expenditure is incurred if the item is a "low-value asset".

Items able to be depreciated include:

- # electric panel heaters
- # some heat pumps (eg single-split type)
- # through-window extractor fans
- # window stays
- # door openers and stops
- # external door draught excluders, and
- # some devices for blocking fireplaces or chimneys (if the devices are not sufficiently attached to the building).

Disposal of buildings

Depreciation recovery income will arise on the sale of a building if the sale price is more than the building's adjusted tax value. The amount of depreciation recovery income is the lesser of the difference between the sale price and the adjusted tax value or the total depreciation deductions. Generally, no deduction is allowed if the sale proceeds are less than the adjusted tax value of the building, on the basis that the loss is a loss of a capital nature. There is an exception for a damaged building that can no longer be used to earn income. To qualify for the exception:

- # the building or grandparented structure (see above) is rendered useless for the purpose of deriving assessable income, and has been demolished (or has been abandoned for later demolition) as a result of damage to the asset or to the neighbourhood of the asset, and
- # the damage was caused by a natural event beyond the control of the taxpayer, an agent or an associated person, and
- # the damage was not caused by the action or failure to act by the taxpayer, an agent or associated person.

Before 4 September 2010, a loss on disposal in relation to buildings was only permitted if the building suffered irreparable damage that occurred in the 2005–06 or later income years and was not caused as a

result of an action or failure to act by the taxpayer, an agent or associate. The rules were extended as a result of the Christchurch earthquakes so that a loss on disposal can now be claimed where a building does not necessarily suffer irreparable damage but has to be demolished due to damage in the neighbouring areas.

Law: IT07 ss [EE 6](#), [EE 7](#), [EE 37\(2\)](#)[EE 11\(2\)](#), [EE 48\(3\)](#), [YA 1](#) (“commercial building”, “commercial fit-out”, “dwelling”, “non-residential building”, “residential building”), [Schs 13](#), [39](#)

Last reviewed on 31 December 2025

Company distributions of depreciable property [¶13-420]

[¶13-420]

[Click to open document in a browser](#)

A company may make a distribution of depreciable property to a shareholder under a transaction that is classified as dividends. In that event:

- # the company is treated as having disposed of the property for its market value, and
- # the shareholder is treated as having acquired the property for that market value.

The disposal may result in depreciation recovery income for the company (depending on the property's adjusted tax value compared with its market value). Further, if the recipient uses the property or makes the property available for use to derive assessable income, a depreciation loss deduction may be claimed by the recipient. However, the depreciation may be restricted if the parties are associated ([¶13-400](#)).

Law: IT07 ss [FC 1\(1\)\(d\)](#), [FC 2\(1\)](#)

Last reviewed on 31 December 2025

Computer software and depreciation [¶13-430]

[¶13-430]

[Click to open document in a browser](#)

The kinds of depreciable intangible property listed in [Sch 14](#) include the copyright in software, the right to use software copyright and the right to use software. A deduction may be available for the depreciation loss incurred in relation to those matters.

Commissioner's approach to software

Interpretation statement IS 17/04

Interpretation statement [IS 17/04](#), "Income tax — Computer software acquired for use in a taxpayer's business" covers the income tax treatment of software for taxpayers who purchase, lease, licence, develop, or commission software for use in a business. The statement expressly refers only to taxpayers that are carrying on a business. However, in general, the principles also apply to taxpayers who incur expenditure on software in deriving assessable or excluded income (otherwise than in the course of carrying on a business). The statement does not consider software developers, the treatment of software funded by a government grant, the application of any specific R&D provisions other than s [DB 34](#), or any potential withholding tax obligations a taxpayer may have.

In summary, the statement provides for the following income tax implications of acquiring or developing software for use in a business:

Software purchases

- # Software purchased will generally be a capital asset that must be depreciated at 50% DV or 40% SL.
- # An immediate write-off for software costing less than \$500 will be allowed where the conditions in s [EE 38](#) are satisfied.
- # Maintenance costs may be deducted when incurred.
- # Upgrade costs must be capitalised and depreciated.

Periodic payments for the right to use or access software

- # Periodic payments for the right to use or access software (often online software) are generally deductible when incurred.

Software developed in-house for use in business

- # In limited situations, a deduction may be allowed for expenditure incurred in determining the feasibility of developing a piece of software for use in a business. Where such a deduction is not available, then unless another provision applies allowing a deduction (such as s [DB 34](#)), the expenditure should be capitalised until the software is either completed or abandoned.
- # If the software is completed for use in the taxpayer's business, the cost of the software can be depreciated at 50% DV or 40% SL.
- # If software is abandoned before it becomes depreciable property, a deduction may be allowed for the expenditure incurred in developing the software.
- # Expenditure incurred in maintaining software once it has been completed will generally be deductible when incurred.
- # Upgrade costs must be capitalised and depreciated.

Commissioned software

- # Expenditure on software commissioned by a taxpayer for use in its business should be capitalised until the software is complete. The costs can then be depreciated over the life of the item.
- # If the software is abandoned before it becomes depreciable property, a deduction may be allowed for the expenditure incurred in developing the software.

Leases of software under finance lease

- # Software leased under a finance lease is treated as a sale of software by the lessor to the lessee. Also, the lessor is treated as giving a loan to the lessee for the software and the lessee is treated as using the loan to buy the software.
- # The IT07 then applies to the arrangement as recharacterised.
- # The financial arrangements rules apply to the loan.
- # The depreciation rules apply as if the lessee owned the software.
- # The treatment at the end of the finance lease depends on who acquires the rights to the software at the end of the lease term.

[IS 17/04](#) contains a number of examples to illustrate the application of the rules.

The Commissioner regards software as including all programs or routines used to cause a computer to perform a desired task or a set of tasks together with the documentation and training materials required to describe and maintain these programs.

The Commissioner considers the following activities are likely to be part of a development phase: gathering and analysing user requirements, designing systems, developing detailed software specifications, constructing programs, testing software, testing acceptance for the user or customer, developing manuals and training material, preparing documents for use in ongoing software product maintenance and providing management review throughout the development phase (eg quality assurance).

Maintenance is regarded by the Commissioner as including costs incurred on providing helpdesk facilities, fixing programming bugs, bringing performance up to the original specifications and making minor changes to the software — ie routine changes that do not materially increase the capacity or performance of the software.

The upgrade of software is treated by the Commissioner as comprising work that adds new features to the software, increases its capacity, performance, or extends the life of the software or provides a new version of the software that has more capacity or increased performance.

The Commissioner's publications indicate the view that development costs need to be capitalised. However, the Commissioner does acknowledge that an alternative treatment may be available where the expenditure satisfies [s DB 34](#), which allows a deduction for R&D in certain circumstances. Section [DB 34](#) permits a deduction for a range of development costs that are expensed for financial reporting purposes. It is conceivable that those costs may include computer software development costs ([¶10-850](#)).

Taxation publications incorporated in electronic versions may be able to be expensed on a current year basis. This is in recognition of their annual life suggesting that the cost of purchase is not expenditure of a capital nature.

Issues paper — IRRUIP10

In July 2016, the Commissioner released an issues paper, [IRRUIP 10](#): "Income tax treatment of software development expenditure". This issues paper considers that part of the 1993 statement that deals with taxpayers carrying on a software development business and acknowledges that the 1993 policy is outdated. For example, the 1993 statement does not consider cloud-based computing, including the provision of software as a service (SaaS), which has become more common in recent years.

"Software development expenditure" is defined for the purposes of the issues paper as expenditure incurred by taxpayers in developing software for the purposes of commercial exploitation as part of a business or other income-earning activity carried on by them. Software in this context is software that

has an independent form, as opposed to software that is an integral part of a tangible asset. It includes bespoke software commissioned primarily for a single client or product-based software developed for general exploitation.

The issues paper concludes that software development expenditure will generally result in an item of property that is an asset. This means that, unless the expenditure is the cost of producing trading stock, the capital limitation in s [DA 2\(2\)](#) will generally apply to prevent the expenditure being deducted when incurred. The Commissioner's initial view is that software development expenditure is not the cost of producing trading stock where software is being developed for use in providing SaaS or non-exclusive licensing. The software may be trading stock where it is being produced for sale by way of assignment of all or part of the copyright rights.

Where software development expenditure is not the cost of producing trading stock, there are 2 potential ways the expenditure could be treated for income tax purposes. The first is to treat the software as a depreciable asset. The other potential income tax treatment arises under the R&D provisions of the Act. The Commissioner's initial view is that the R&D provisions may provide immediate deductibility of some software development expenditure to a greater degree than is possible under either the trading stock or depreciable asset treatments.

The issues paper suggests a possible change in IR's current approach concerning trading stock treatment of software development expenditure that would affect the timing of when deductions for software development expenditure are available. The Commissioner has stated that any final view on the issues will apply prospectively. There is no change in the interim to IR's current practice concerning the income tax treatment of software development expenditure. Assistance will be offered in terms of explaining how developers are able to transition to any new position, should the current position change.

Costs of unsuccessful software development

A taxpayer may claim a deduction for expenditure incurred on software development for use in their business where:

- # the development is abandoned at a time when the copyright in the software is not yet depreciable property, and
- # the copyright in the software would have been depreciable property if the development had been completed, and
- # the taxpayer has not claimed a deduction for the expenditure under any other provision of the Act.

The deduction may be claimed in the income year in which the development is abandoned.

Website

The Commissioner regards the cost of developing a business website as capital expenditure that must be subject to the same treatment as computer software. The same treatment applies to costs incurred on a reconstruction or functional improvement of the site.

The cost of acquiring a domain name is also regarded as expenditure of a capital nature. However, the Commissioner's view is that this cost does not give rise to a depreciation loss.

Any costs incurred in updating or adding information to a website are regarded as revenue expenditure that is able to be expensed on a current year basis. Any annual fee charged for continued registration of a domain name is also allowed as a deduction in the year incurred. See *Tax Information Bulletin* [¶128-107 Vol 12, No 8](#), August 2000 at 21.

Law: IT07 s [DB 40B](#), [Sch 14](#)

Last reviewed on 31 December 2025

Depreciable intangible property [¶13-440]

[¶13-440]

[Click to open document in a browser](#)

Depreciable intangible property is defined to mean property listed in [Sch 14](#). The following items are listed in [Sch 14](#) as being depreciable intangible property:

- # the right to use a copyright
- # the right to use a design or model, plan, secret formula or process or other like property right
- # a patent or the right to use a patent
- # a patent application with a complete specification lodged after 31 March 2005
- # the right to use land
- # the right to use plant or machinery
- # the copyright in software, the right to use the copyright in software, or the right to use software
- # the right to use a trademark
- # management rights and licence rights created under the Radiocommunications Act 1989
- # a resource consent to do something that otherwise would contravene ss 12–15B of the Resource Management Act 1991 (other than a consent for a reclamation), granted in or after:
 - # the 1996–97 income year, if the consent relates to ss 12–15 of that Act, or
 - # the 2014–15 income year, if the consent relates to ss 15A and 15B of that Act
- # the copyright in a sound recording that was produced or purchased after 30 June 1997 where copies of the recording are sold to the public
- # plant variety rights granted by statute
- # a right to use plant variety rights granted by statute
- # for the 2015–16 and later income years, a design registration
- # for the 2015–16 and later income years, a design registration application, and
- # for the 2015–16 and later income years, industrial artistic copyright.

For property to be listed in [Sch 14](#) the item in question must be intangible and have a finite useful life that can be estimated on the date of acquisition with a reasonable degree of certainty. However, the legislation clarifies that any property that is listed in [Sch 14](#) but which does not have those features will still be treated as depreciable property.

Certain types of depreciable intangible property may be further categorised as “fixed life intangible property”. This is depreciable intangible property that has a legal life. For example, patents are fixed life intangible property because a patent is granted for 20 years. The legal life of the property becomes the basis of the period for which a depreciation loss may be allowed as a deduction. Fixed life intangible property can only be depreciated using the SL method for calculating depreciation loss ([¶13-450](#)).

The High Court has noted that to be depreciable, an item of intangible property must be property that in normal circumstances might reasonably be expected to decline in value while it is used or available for use in deriving assessable income or in carrying on a business for such purpose. ANZCO claimed a depreciation deduction for a payment made under a settlement to vary an encumbrance on land it purchased on the basis that it conferred a right to use land. The High Court found that what ANZCO obtained from the settlement was not a right to use land but the removal of a contractual restriction over its existing rights of use. The rights released were no longer subject to a fixed term but continued to run with the land and could not reasonably be expected to decline in value over time. What was obtained by ANZCO did not fall within the definition of depreciable intangible property. See *ANZCO Foods Ltd v C of IR* (2016) 27 NZTC ¶22-049.

The “right to use a trademark” refers to the licence that a trademark owner may grant to a licensee for an agreed period. It does not refer to the trademark itself. The trademark owner does not hold a “right to use a trademark” that can be classified as a form of depreciable intangible property within the scope of [Sch 14](#). See *Trustees in the CB Simkin Trust and the Trustees in the NC Simkin Trust v C of IR* (2005) 22 NZTC 19,001 (PC).

The purchase of depreciable intangible property from an associated person does not give rise to a deduction for a depreciation loss for the purchaser. This is where the property was not depreciable property that was listed in [Sch 14](#) at the time of acquisition by the vendor, and the cost was not allowed as a deduction outside the depreciation regime.

This restriction reflects historical developments. It endeavours to ensure that a depreciation loss does not become available through the transfer of depreciable intangible property that had not previously conferred a depreciation loss for the transferor. The transferor may not have been able to claim the depreciation loss because the property was not listed in [Sch 14](#) at the time of its acquisition by that person.

Law: IT07 ss [EE 43](#), [EE 62](#), [Sch 14](#)

Last reviewed on 31 December 2025

Fixed life intangible property [¶13-450]

[¶13-450]

[Click to open document in a browser](#)

Fixed life intangible property is property that:

- # is depreciable intangible property, being a kind of intangible property listed in Sch 14, and
- # has a legal life that could reasonably be expected at acquisition to equate with the property's remaining estimated useful life.

The notion of legal life is the period of the property's remaining existence, inclusive of any renewal period that is unconditional or conditional upon the payment of predetermined fees.

Example:

Sci Fi Ltd obtains a 5-year licence to use a trademark for \$30,000 paid at the outset with a 5-year extension on payment of \$10,000 at the start of year 6. The depreciation loss is calculated as follows:

Years 1 to 5

Legal life: 10 years

Depreciation rate: 10% SL (1/10 years)

Depreciation = $10\% \times \$30,000 \times 5 \text{ years} =$ \$15,000

Years 6 to 10

Legal life: 5 years

Adjusted tax value: \$15,000 (\$30,000 # \$15,000)

Depreciation rate: 20% SL (1/5 years)

Depreciation = $20\% \times (\$15,000 + \$10,000) \times 5 \text{ years} =$ \$25,000

Total depreciation for years 1 to 10 \$40,000

Law: IT07 s [EE 67](#), Sch [14](#)

Last reviewed on 31 December 2025

Depreciation implications of franchise agreements [¶13-460]

[¶13-460]

[Click to open document in a browser](#)

It is possible that there are depreciation implications for a franchisee who enters into a franchise agreement. The franchise agreement itself is not depreciable property. However, some of the rights conferred by the agreement may be depreciable intangible property that gives rise to a deduction for a depreciation loss ([¶13-034](#)). Examples could be the grant to the franchisee of the right to use a trade mark or the right to use a secret formula or process. A depreciation loss may potentially be available if the consideration payable by the franchisee can be attributed to components that are depreciable intangible property.

If the rights purchased can be classified as depreciable intangible property, it continues to be necessary to satisfy an additional requirement of the concept before a depreciation loss becomes available. That additional requirement is to the effect that the rights must have a finite life that can be estimated at acquisition with a reasonable degree of certainty. In most instances, that finite life can be expected to be the legal life of the rights, which can take into account rights of renewal. If so, a depreciation loss calculated under the SL method would be applicable. The Commissioner has given the following example to illustrate the position (*Tax Information Bulletin* [¶88-113 Vol 8, No 8](#), November 1996 at 19).

Example:

Cherrypoppin Ltd paid \$50,000 to acquire the New Zealand franchise rights to manufacture and distribute Rolloseal towel rails. The franchise agreement is for 10 years with renewal rights for a further 5 years.

The majority of the \$50,000 franchise fee went to capital expenditure, but \$20,000 of the fee related to the right to use a patent. The franchise was acquired on 1 April 2005 to extend until 1 April 2015, with the right of renewal for a further 5 years, subject to paying a renewal fee of \$2,000.

The right to use the patent is fixed-life intangible property. Upon purchase, it appeared that the right to use the patent would remain valuable to the end of its legal life. The legal life of this fixed-life intangible property is 10 years, plus a 5-year renewal period. The SL depreciation rate to be used by Cherrypoppin Ltd is therefore:

$$\frac{1}{15} = 6.67\% \text{ (rounded) on cost of \$20,000.}$$

Lotto franchise fee

The Commissioner's view is that payment of a Lotto franchise fee does not give rise to a depreciation loss. The value of the rights granted are not expected to decline in value (*Tax Information Bulletin* [¶68-115 Vol 6, No 8](#), January 1995 at 15).

Last reviewed on 31 December 2025

Geothermal wells and depreciation [¶13-465]

[¶13-465]

[Click to open document in a browser](#)

A geothermal well is defined as “a bore or well solely for the purposes of investigating or exploiting geothermal energy in New Zealand”.

The rules recognise that the capital costs associated with failed wells should be deductible. If a failed well is subsequently sold or brought back into production, the amount previously allowed as a deduction (or the sale proceeds, whichever is lower) is written back. In other cases, geothermal wells are to be depreciated over their useful life, from the date the well is completed. Geothermal wells owned during the “proving period” are treated as depreciable property (*Tax Information Bulletin* [¶193-114 Vol 19, No 3](#), April 2007 at 62).

Law: IT07 ss [EE 6\(4\)](#), [EE 44\(2\)\(c\)](#), [EE 45\(7\)](#), [EE 47\(6\)](#), [YA 1](#) (“geothermal well”)

Last reviewed on 31 December 2025

Gifts of depreciable property [¶13-470]

[¶13-470]

[Click to open document in a browser](#)

It is possible for a gift to be depreciable property. For a discussion by the Commissioner of what a gift is, see *Tax Information Bulletin* [¶175-114 Vol 17, No 5](#), July 2005 at 31.

The treatment of a gift of depreciable property is that the donor must treat the transaction as a disposal at the then market value of the property (except, from 1 April 2024, gifts of trading stock or an interest in trading stock). This may create an item of depreciation recovery income for the donor, depending upon the asset's adjusted tax value compared with its market value.

The recipient of the gift is treated as having acquired the property at the donor's market value. A depreciation loss will be available if the recipient uses or makes the asset available for use to derive assessable income. However, the depreciation may be restricted if the parties are associated ([¶13-400](#)).

Law: IT07 ss [FC 1\(1\)\(e\)](#), [FC 2\(1\)](#)

Last reviewed on 31 December 2025

Transfer of depreciable property between group companies [¶13-480]

[¶13-480]

[Click to open document in a browser](#)

The Commissioner's approach to the transfer of depreciable property between members of a wholly-owned group is that the sale price must be based upon the property's market value.

The transfer of depreciable assets on amalgamation is discussed at [¶13-390](#).

Last reviewed on 31 December 2025

Land improvements that may give rise to depreciation loss [¶13-500]

[¶13-500]

[Click to open document in a browser](#)

A range of land improvements may give rise to a depreciation loss. These are the improvements listed in [Sch 13](#). It is not necessary for the improvements to have occurred in the context of agricultural activities.

The improvements listed in [Sch 13](#) comprise airport runways, bores and wells, bridges, chimneys, culverts, dams, fences, hardstanding (eg asphalt carpark), reservoirs, retaining walls, roads, spillways, swimming pools, tanks, tunnels, wharves, pipes, and purpose-built surfaces for outdoor sports facilities.

Law: IT07 s [EE 7\(a\)](#), [Sch 13](#)

Last reviewed on 31 December 2025

Depreciation of finance leases [¶13-503]

[¶13-503]

[Click to open document in a browser](#)

Special rules cover depreciation in relation to finance leases. For tax purposes, a finance lease includes a lease that involves a term that is more than 75% of the relevant asset's estimated useful life at the time that the person enters the lease, or at a later time. A lease which involves the transfer of ownership of the asset to the lessee, or an associate, or the lessee having the option to acquire the asset for an amount that is likely to be substantially lower than the asset's market value at the date of acquisition is also classified as a finance lease.

For the duration of the lease term the ownership of the leased asset is effectively recharacterised so that the lessee becomes the deemed owner of the asset and, consequently, is able to claim depreciation. The lessor may not claim a deduction for a depreciation loss.

Early termination and depreciation recovery

In the event of an early termination in which the lessee does not purchase the lease asset, the lessor includes as income the outstanding amount of the loan principal. This amount is reduced by any amount payable by the lessee in consideration for early termination. These rules extend to transactions involving the sale and leaseback of an intangible asset. In some cases, the lessor will reacquire the lease asset before the end of the lease term.

Law: IT07 ss [CC 11](#), [CC 12](#), [CH 6](#), [FA 6–FA 11](#), [YA 1](#) (“finance lease”)

Last reviewed on 31 December 2025

Depreciation — loose tools [¶13-510]

[¶13-510]

[Click to open document in a browser](#)

Loose tools may be regarded as the equipment of a tradesperson. Loose tools would not include items that become, for example, part of the materials to erect a structure.

Loose tools may be eligible for treatment as a low-value item whose cost is allowed as a deduction in the year of purchase. The threshold for treatment as a low-value item is \$1,000 per asset ([¶13-054](#)).

Last reviewed on 31 December 2025

Motor vehicles and depreciation [¶13-520]

[¶13-520]

[Click to open document in a browser](#)

Depreciation rates for motor vehicles

Generally, the economic depreciation rates for motor vehicles are set by the Commissioner by determination and are listed in the schedules of depreciation rates — see CCH, *New Zealand Depreciation Rates*. The economic rate for certain passenger-carrying motor vehicles (eg taxis and minibuses) is set by legislation.

Apportionment of business use of motor vehicle

Subpart DE sets out the rules for determining the proportion of business use of a motor vehicle to its total use. Determining the component of business use assists with calculating the depreciation loss allowed in relation to the motor vehicle. The rules only apply to self-employed people. The apportionment rules also apply to deductions for motor vehicle expenses (¶10-710).

To calculate a year's depreciation loss, a self-employed person applies the following formula:

$$\text{standard calculation} \times \text{business proportion}$$

where:

standard calculation is the standard calculation of a depreciation loss based upon the number of months during which the vehicle is used or is available for use (¶13-104), and

business proportion is the decimal representing the proportion of business travel as a component of total travel as determined under one of the 4 permitted methods.

The depreciation loss is effectively the proportion of a full year's depreciation loss reflecting the component for business travel and the number of months of availability for use.

Example:

Ms Smith is a self-employed beauty consultant who has calculated that her car is used 85% for business purposes. The car's adjusted tax value is \$18,000 and she owns it for the entire income year.

Assume the applicable depreciation value rate is 36% DV.

First, applying the standard calculation:

$$18,000 \times 36\% \times \frac{12}{12} = \$6,480$$

Second, applying the formula to calculate the year's depreciation loss:

$$\$6,480 \times 0.85 = \$5,508$$

The deduction for depreciation for the income year becomes \$5,508. However, the adjusted tax value of the car reduces by the full \$6,480 to \$11,520.

Disposal of the vehicle

A different formula applies for the income year in which there is a disposal of the vehicle.

The formula is the following:

$$\text{disposal depreciation loss} \times \text{all deductions} \div (\text{base value} \# \text{ adjusted tax value})$$

where:

disposal depreciation loss is any depreciation loss arising upon disposal if the consideration received is less than adjusted tax value

all deductions is all prior year deductions for a depreciation loss in relation to the vehicle

base value is the vehicle's cost, and

adjusted tax value is the vehicle's adjusted tax value at the time of disposal.

Another formula applies where a vehicle is brought into business use and disposed of in the same income year.

The formula is the following:

$$\text{disposal depreciation loss} \times \text{business proportion}$$

where:

disposal depreciation loss is any depreciation loss arising upon disposal if the consideration received is less than the adjusted tax value

business proportion is the decimal representing the proportion of business travel as a component of total travel as determined under one of the four permitted methods.

Clean car discount scheme

IR has stated that the amount of a rebate under the clean car discount scheme will either be a capital receipt or excluded income ([¶15-770](#)). Where the rebate is paid in respect of a vehicle that is depreciable property, an adjustment is required to the cost of the vehicle for depreciation purposes. See [¶13-064](#) for commentary on cost base for depreciation purposes.

Law: IT07 ss [DE 2](#), [EE 29\(3\)](#), [EE 31](#)

Last reviewed on 31 December 2025

Depreciation — patents and design registrations [¶13-540]

[¶13-540]

[Click to open document in a browser](#)

Patents or the right to use a patent are a form of fixed life intangible property ([¶13-450](#)). Patents are granted for a term of 20 years, and the tenor of the depreciation provisions is to allow a deduction for a depreciation loss in respect of the cost of a patent as from the date of lodging a patent application with a complete specification. Commencement of the deduction is not deferred until the patent is granted but is available during the time that the patent application is pending.

Included in the cost of a patent are the legal and administrative costs incurred in applying for the patent, additional costs incurred for a patent (s [EE 19](#)), and, for the 2015–16 and later income years, expenditure for underlying intangible items (s [EE 18B](#)).

Costs incurred in a patent application that is withdrawn or declined are allowed as a deduction when the application becomes unsuccessful. From the 2014–15 income year, a deduction is also allowed for costs incurred in a patent application that is not lodged. In addition, deductions will be clawed back if application property is subsequently sold or used in the lodging of a patent application. In the latter case, the clawed back amount will be included in the cost of the intangible property to be depreciated over the life of the depreciable asset. See further at [¶10-750](#).

Patent applications lodged on or after 1 April 2005

A depreciation rate may be ascertained under s [EE 33](#) in relation to a patent application lodged with the Intellectual Property Office of New Zealand or an overseas equivalent with a complete specification on or after 1 April 2005. This rate continues to apply until the application is granted, refused or withdrawn.

The depreciation rate that is found under the formula in s [EE 33](#) applies to the costs of creating the patent, as from the income year in which the patent application is lodged. The result is that the deduction allowed for the depreciation loss on the patent is not deferred until such time as the patent application is granted.

The legal life of the patent application is the legal life the patent would have if it was granted when the application was first lodged.

If the application is granted, another depreciation rate needs to be found and applied.

For the tax treatment of patents lodged before 1 April 2005, see CCH, *Master Tax Guide 2007*, [¶13-540](#).

Patents granted or acquired on or after 1 April 2005

A depreciation rate is determined under s [EE 34](#) for a patent acquired or granted in the 2005–06 or later income year. If the patent application was depreciated, the cost of the patent for depreciation purposes is the adjusted book value of the patent application at the start of the month that the patent is granted, together with any additional costs. The legal life of the patent is defined in s [EE 34](#) for the purposes of that section. Section [EE 44\(2\)\(b\)](#) clarifies that no depreciation recovery calculation needs to take place when a patent application is granted.

The depreciation rate found under the formula in s [EE 34](#) applies with effect from the income year in which the patent is granted for the remaining legal life.

Capitalised development expenditure and design registrations

Before 1 April 2015, costs associated with the actual invention that is subject to a patent or patent application were neither deductible nor depreciable. However, changes were made with effect from 1 April 2015 for the 2015–16 and later income years.

Capitalised development expenditure (incurred on or after 7 November 2013) that relates to a patent or patent application may be included as part of the depreciable costs of the relevant depreciable intangible asset for taxpayers that have carried out R&D that has led to them acquiring one of these depreciable intangible assets.

In addition, design registrations (and applications for design registration) were made depreciable by adding them to [Sch 14](#) of the IT07. A design registration is defined to mean a registration of a design under the Designs Act 1953 and includes a similar registration and protection of a design under a foreign law. Capitalised expenditure (incurred on or after 7 November 2013) in creating the design is also able to be included as part of the depreciable costs of a design registration (and associated application) for taxpayers that have created a design that they have applied to have registered, as well as legal and administrative fees incurred in the design registration process.

Commissioner's interpretation statement

Interpretation statement [IS 17/05](#), "Income tax — treatment of New Zealand patents" discusses the income tax treatment of patents, including their costs and depreciation, and also provides examples of the operation of the provisions. The statement updates and replaces the Commissioner's earlier statement on the income tax treatment of patents, released in July 2006 by updating legislative references, discussing legislative changes and recording a change of view by the Commissioner on the treatment of patent maintenance and renewal fees ([¶10-750](#)) and expenditure for underlying intangible items after asset recognition.

Section [EE 18B](#) provides that the cost of the patent for depreciation purposes includes expenditure by the taxpayer for underlying intangible items. The Commissioner's view has changed in this area since the July 2006 statement as a result of the introduction of this provision. To meet the requirements of s [EE 18B](#), the underlying item must give rise to, support or be an item in which the person incurring the expenditure holds the patent. [IS 17/05](#) gives the example of an invention supporting or giving rise to the patent. Research and development costs incurred in devising an intangible invention, in respect of which a patent is sought, would be included in the depreciable value of that patent or the right to use that patent (provided no other deduction has been allowed for the R&D expenditure). The following example from the statement illustrates this point:

Example:

Business C begins an R&D project during May 2016. After 18 months of R&D, Business C recognises an invention resulting from the R&D as an intangible asset for financial reporting purposes. The R&D expenditure incurred by Business C, up to the point of asset recognition, may be deductible under the general permission (s [DA 1](#)) or under the specific R&D provisions in s [DB 33](#) or [DB 34](#).

Subsequently, Business C incurs some capitalised development expenditure further refining the invention. An invention is an intangible asset that is not an item of depreciable intangible property.

Business C then applies for a patent for the invention, filing a patent application with a complete specification. A patent application with a complete specification lodged on or after 1 April 2005 is an item of depreciable intangible property. The depreciable cost of the patent application comprises the administrative and legal fees Business C incurred in applying for the patent and the capitalised development expenditure Business C incurred on refining the intangible invention.

The capitalised development expenditure is included in the depreciable cost of the patent application because the invention is an underlying item of intangible property in which Business C holds the patent application. If the patent is subsequently granted, the depreciable cost of the patent will also include the capitalised development expenditure Business C incurred on refining the invention, if it has not already been deducted as depreciation of the patent application.

On the granting of a patent, the patent application costs form part of the adjusted tax value of the patent and the amounts continue to be depreciated over the legal life. In terms of s [EE 44\(2\)\(b\)](#), there is no disposal of the patent application when that application has "concluded because a patent is granted to the person in relation to the application".

If the taxpayer has purchased the patent application, patent or patent rights, then the cost to the taxpayer is depreciable. In this case, the taxpayer has purchased either the application for or the right to use a particular invention, which is protected by a patent, and to exclude others from such use. It is the cost incurred in buying that application or right that is depreciable. There is no disposal of the patent application when the patent is granted (in the case of a taxpayer purchasing a patent application).

Law: IT07 ss [DZ 15](#), [EE 16\(4\)\(b\)](#), [EE 18B](#), [EE 19](#), [EE 33](#), [EE 34](#), [EE 34B](#), [EE 44\(2\)\(b\)](#), [\(bb\)](#), [EE 67](#)

Last reviewed on 31 December 2025

Depreciation — petroleum assets [¶13-550]

[¶13-550]

[Click to open document in a browser](#)

The depreciation loss for petroleum-related depreciable property is essentially calculated on a daily basis in light of the special nature of the assets. Petroleum-related depreciable property encompasses drilling rigs and support vessels for drilling rigs and production platforms.

On the assumption that the depreciation loss on petroleum assets, calculated under any of the general methods, results in a higher loss, the formula for calculating the depreciation loss becomes:

$$\text{annual rate} \times \text{value or cost} \times \text{days} \div 365$$

where:

annual rate is the appropriate annual rate under the depreciation method adopted for the asset
value or cost is:

the asset's adjusted tax value at the end of the previous income year if the DV method is applied, or
the asset's cost if the SL method is applied

days is the number of days in the income year during which the person owns the asset and uses it or has it available for use for any purpose.

A depreciation loss can arise in the year petroleum-related depreciable property is disposed of. This is an exception to the general rule that no depreciation loss is calculated in the year of disposal for an asset. The depreciation recovery provisions neither apply to the disposal, nor do they apply if the property is removed from New Zealand and the New Zealand tax base. Under s [EE 59](#), the purchase of petroleum assets from an associated person can be subject to continued application of the transferor's cost.

Law: IT07 ss [EE 17](#), [EE 59](#), [EE 67](#)

Last reviewed on 31 December 2025

Depreciation — plant variety rights [¶13-560]

[¶13-560]

[Click to open document in a browser](#)

Depreciable intangible property includes both plant variety rights granted under the Plant Variety Rights Act 1987 or similar foreign statute and the right to use plant variety rights. Plant variety rights are fixed life intangible property. Plant variety rights are granted for terms of 20 or 23 years, depending upon the plant material. For depreciation purposes the legal life of a plant variety right is the total of its legal duration under the contract or statute that creates it and the number of months during which the person owned the plant variety rights application. The depreciation rate for plant variety rights is ascertained under s [EE 33](#). For a further discussion of fixed life intangible property, see [¶13-034](#) and [¶13-450](#).

For plant variety rights granted in the 2005–06 or later income years, a one-off deduction is available in the income year in which a plant variety rights application is granted for any costs associated with the plant variety rights application that are otherwise unable to be deducted.

From 1 April 2015, a deduction is available for costs incurred in applying for the grant of plant variety rights where the plant variety rights are not obtained because the application is not lodged or is withdrawn, or because the grant is refused. In addition, such deductions will be clawed back if the application property is subsequently sold or used in obtaining a grant of plant variety rights. In the latter case, the clawed back amount is included in the cost of the intangible property to be depreciated over the life of the depreciable asset. See further at [¶10-760](#).

From 1 April 2015, capitalised development expenditure (incurred on or after 7 November 2013) that relates to plant variety rights is now allowed to be included as part of the depreciable costs of the relevant depreciable intangible asset for taxpayers that have carried out R&D that has led to them acquiring one of these depreciable intangible assets.

Law: IT07 ss [EE 18B](#), [EE 25](#), [EE 33](#), [EE 67](#), [Sch 14](#)

Last reviewed on 31 December 2025

Depreciation — radiocommunications licences [¶13-570]

[¶13-570]

[Click to open document in a browser](#)

Depreciable intangible property includes management rights and licence rights created under the Radiocommunications Act 1989. There is a prohibition on further depreciation if a licence right is granted to an associated person of a holder of management rights. The prohibition arises in relation to a transaction of that kind because the cost of the licence right to the associated person is treated as being zero. The prohibition does not apply where the Secretary of Commerce acts as the manager.

Law: IT07 s [EE 42](#), [Sch 14](#)

Last reviewed on 31 December 2025

Depreciation and relationship property transfers [¶13-580]

[¶13-580]

[Click to open document in a browser](#)

Depreciable property may be transferred on a settlement of relationship property. In that event:

- # the transferor is treated as having disposed of the property for its adjusted tax value at the start of the income year (or cost if the property was purchased during the income year)
- # the transferee is treated as having incurred a cost of acquisition equivalent to the transferor's transfer value
- # the transferee is treated as having had a depreciation loss equivalent to the transferor's depreciation loss
- # the transferee's depreciation loss for a building must have regard to the transferor's cost for the building, and
- # the transferee cannot have a greater depreciation loss than that which could have been obtained by the transferor.

The transferee essentially assumes the depreciation profile of the transferor and continues with the transferor's calculation of the available depreciation loss. Depreciation recovery income is not recognised on the transfer.

A "settlement of relationship property" means a transaction between parties to a relationship agreement that creates a disposal and acquisition of property under subpart [FB](#). Broadly, a "relationship agreement" is an agreement for the purposes of Pt 6 of the Property (Relationships) Act 1976 or under an order under s 25 of that Act.

Law: IT07 ss [FB 1B](#), [FB 21](#)

Last reviewed on 31 December 2025

Depreciation — resource consents [¶13-585]

[¶13-585]

[Click to open document in a browser](#)

Depreciable intangible property includes a resource consent to do something that otherwise would contravene ss 12–15B of the Resource Management Act 1991 (other than a consent for a reclamation), granted in or after:

- # the 1996–97 income year, if the consent relates to ss 12–15 of that Act, or
- # the 2014–15 income year, if the consent relates to ss 15A and 15B of that Act.

Interpretation statement on resource consent expenditure

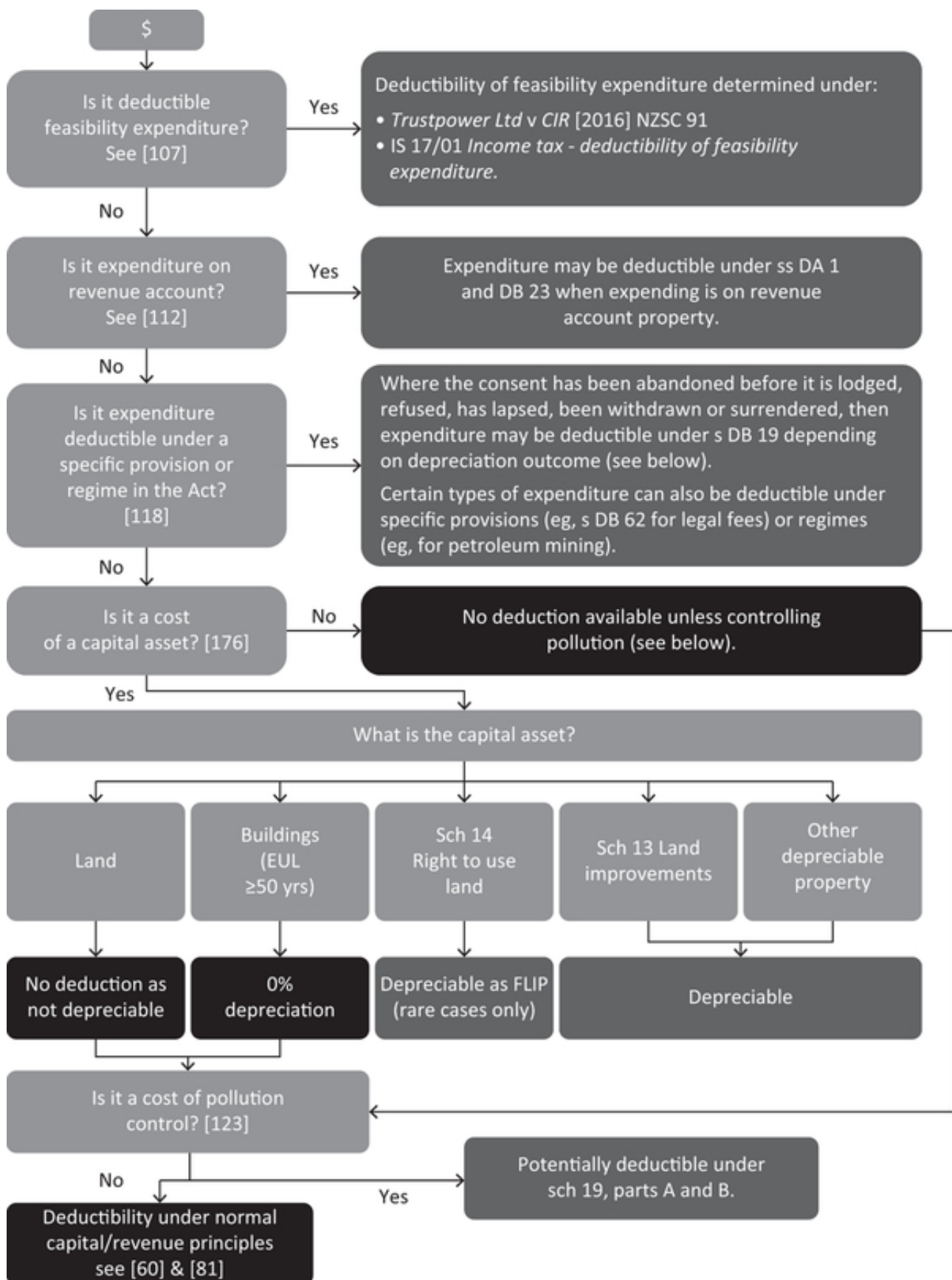
Interpretation statement, [IS 18/06](#), “Income tax — treatment of costs of resource consents” discusses whether deductions for the expenditure incurred in obtaining environmental and land consents are available and on what basis. The ability to deduct or depreciate expenditure on a resource consent depends on the type of expenditure, the type of consent and the resulting asset.

Environmental consents broadly concern the environment, are granted under ss 12–15B of the Resource Management Act 1991 (RMA), and are listed in [Sch 14](#) of the IT07. Land consents broadly concern land, are granted under s 9 or 11 of the RMA and are not listed in [Sch 14](#). The statement provides the following 2 flowcharts to assist in deciding whether the expenditure is deductible or depreciable. (Note the paragraph references are to paragraphs in the statement.)

Flowchart 1: Environmental consents — ss 12–15 of the RMA excluding reclamation consents — treatment of expenditure



Flowchart 2: Land consents — ss 9 and 11 of the RMA plus reclamation consents — treatment of expenditure



The statement considers the earlier Supreme Court decision in *Trustpower v C of IR* (2016) 27 NZTC ¶22-061 and interpretation statement IS 17/01, “Income tax — deductibility of feasibility expenditure” (¶10-440) and concludes that resource consent expenditure is usually on capital account and there is limited scope for deductible feasibility expenditure in the context of applying for a resource consent. However, where property is “revenue account property” its cost is deductible under s DB 23. An exception identified in *Trustpower* is land developers where the expenditure is on revenue account.

Environmental consents are items of depreciable intangible property and the expenditure that forms the cost base can be depreciated over the fixed term of the consent.

Example:

Incin-a-lot Ltd is building an additional incinerator for medical waste. The council has granted Incin-a-lot Ltd a 25-year environmental consent to discharge contaminants into the atmosphere from this incinerator. The consent cost is \$50,000, including legal fees, application fees, design and engineering reports, scientific reports and an environmental report. The costs of the environmental consent are depreciated over the legal life on a SL basis. This means the cost of \$50,000 is depreciated over a 25-year period resulting in a SL depreciation deduction of \$2,000 a year.

However, developing contracts with customers has been slower than expected and the new incinerator will not be put into operation until next year. Further, due to high operating temperatures, this particular kind of incinerator only has a 10-year useful life. Does this change how the costs are depreciated?

No. The environmental consent can be depreciated from the point where the consent is available to be used. It is available to use, and the costs are depreciable, despite the incinerator not actually being used until the following year. The incinerator's shorter useful life does not affect the environmental consent. The environmental consent should be depreciated as a separate item of depreciable intangible property over its fixed term. Incin-a-lot Ltd may wish to surrender the environmental consent once the incinerator is no longer in use and write off the remaining amount of the un-depreciated cost of the consent.

Land consents are generally of unlimited duration and will not usually be depreciable property. In exceptional cases a land consent may be depreciable as a right to use land, in which case the treatment is the same as for environmental consents. Expenditure on land consents can usually only be depreciated to the extent that the expenditure can be capitalised into the cost of another item of depreciable property. No depreciation deduction is available for any expenditure capitalised into the cost of land or buildings (with an estimated useful life of more 50 years). For land consents, deductibility under s DB 19 for unsuccessful consents may not be possible as it depends on the depreciation outcome (¶10-860). However, some expenditure may be deductible if it is for pollution control (¶10-242).

Example: Expenditure on two land consents

Incin-a-lot Ltd obtains a land consent to build a new chimney at their existing premises. It needs a land consent because the district plan places a restriction on building structures over a certain height. The expenditure on the land consent forms part of the cost of the chimney, which is an item of depreciable property. Consequently, the company can add the expenditure on the land consent to the cost of the chimney and depreciate it at the applicable rate.

As a condition of the resource consent, the council requires Incin-a-lot Ltd to build an earth wall close to the state highway so that the new chimney is less visible from the road. The earth wall requires a land consent for the earthworks and contouring.

The expenditure on the resource consent for the earth wall cannot be allocated to the cost of the chimney. The earth wall is functionally and physically distinct from the chimney. Expenditure to obtain the land consent is directly attributable to the earth wall. That means that expenditure on the land consent can be capitalised into the cost of the earth wall.

Cost and expenditure that may be incurred

The statement also considers what constitutes “cost” and notes there is very little assistance in the legislation. The Commissioner considers the following principles are key:

- # cost includes that which must be given in order to acquire something
- # cost includes expenses incurred in having an asset installed and ready to use but cost is fixed once the asset is capable of being used
- # cost includes subsequent expenditure after this point only to the extent it is allowed under the Act, and

cost does not include all expenditure associated with the asset where it does not satisfy one of the above principles.

The Commissioner provides examples of expenditure that may be incurred on a resource consent in [IS 18/06](#).

Law: IT07 ss [DB 19](#), [EE 62](#), [Sch 14](#)

Last reviewed on 31 December 2025

Trustee and executor distributions of depreciable property [¶13-600]

[¶13-600]

[Click to open document in a browser](#)

A disposal value is attributed when the trustees of an inter vivos trust distribute depreciable property to the beneficiaries. An exception exists when the distribution is part of an arrangement under which the beneficiary pays an amount for the property that would reasonably be expected to be paid on a disposal at arm's length. There are also specific rules which attribute values to depreciable property on the death of a taxpayer and on the subsequent distribution of the property by the executor to the beneficiaries of the estate.

Trustee distribution

A trustee of an inter vivos trust may make a distribution of depreciable property to a beneficiary. The trustee may also resettlement depreciable property on another trust on the exercise of a power of resettlement. On either occasion:

- # the trustee is treated as having made a disposal of the property at its then market value, and
- # the beneficiary or recipient trustees are treated as having acquired the property for that market value.

Death

Depreciable property owned by a person is transferred to the person's administrator or executor on death. For tax purposes the transfer of the property is treated as a disposal at the property's market value immediately before the person's death. The executor is treated as having acquired the property at that same market value.

The executor is required to ascertain whether the person's death leads to an item of depreciation recovery income that must be recognised in the return of income for the person to the date of death.

Exception to market value approach

As stated above, an exception to this market value approach exists when the distribution is part of an arrangement under which the beneficiary pays an amount for the property that would reasonably be expected to be paid on a disposal at arm's length. There is also another exception to the market value approach. The transfer of depreciable property on the death of a taxpayer to the executor may be treated as a disposal under a settlement of relationship property ([¶13-580](#)) if the deceased's estate vests in the surviving spouse, civil union partner, or de facto partner. For this treatment to apply, it is also necessary that those beneficiaries receive by vesting all assets that were in the tax base of the deceased (ie revenue account property, foreign investment fund interests, financial arrangements not accounted for on a cash basis and depreciable property).

The practical effect of the operation of s [FC 3](#) is that any depreciation recovery income or depreciation loss on disposal of the asset is deferred until the spouse, civil union partner or de facto partner (being the final beneficiary) disposes of the inherited depreciable property. The amount of depreciation recovery income or depreciation loss on disposal will include the depreciation loss that had been claimed by the deceased and the executor or administrator when those parties owned the asset. Further, if s [FC 3](#) applies, the transferee (being the executor or administrator and later the spouse, civil union partner or de facto partner) cannot claim more depreciation than the transferor would have been allowed ([¶13-580](#)).

Distribution by executor

A distribution of depreciable property by an executor is generally treated as a disposal at the then market value of the property. This may make it necessary for the executor to ascertain whether disposal at that value creates depreciation recovery income for the estate.

The general position is subject to an exception under s [FC 4](#) for an executor's distribution of depreciable property when the only beneficiaries are close relatives or charities. Under this exception, the distribution can be treated as a transfer under a settlement of relationship property ([¶13-580](#)).

A "close relative" is defined as a surviving spouse, civil union partner, de facto partner, or a person within the second degree of relationship to the deceased.

For this treatment to apply, the following requirements must be satisfied:

- # close relatives or charities are the sole beneficiaries of the estate
- # no life interest in the estate is created
- # property of the estate is not to be held in trust (other than for the period of administration), and
- # net income of the estate when the property is held by the executor is distributed to the maximum extent consistent with the terms of the will or intestacy and the executor's legal obligations.

This treatment extends to the recipient of a charitable bequest. As a consequence, the executor may not be required to recognise depreciation recovery income on distribution to the charity.

See also CCH, *New Zealand Tax Planning Report*, No 6, December 2007.

When property is transferred between associated persons, special rules may apply to restrict the cost base for the transferee when calculating depreciation ([¶13-400](#)). However, this restriction does not apply when property is transferred as a bequest and the disposal is required to take place at market value under subpart [FC](#).

Law: IT07 ss [EE 40\(11\)](#), [FB 21](#), [FC 1–FC 4](#), [FZ 6](#)

Last reviewed on 31 December 2025

Depreciation — Utilities distribution network assets [¶13-610]

[¶13-610]

[Click to open document in a browser](#)

Utilities distribution networks convey electricity, gas, water, and telecommunications. Individual assets within that network, eg power poles, are depreciated at the rate applicable to that item of depreciable property. This is known as the “component approach”.

No depreciation rate exists for the composite group of assets that make up the network. Treating the entire distribution network as an item of depreciable property is known as the ‘network approach’. It is common for utility providers to pool ‘like’ assets and depreciate them using the pool method ([¶13-144](#)). These asset pools contain a number of generally low value assets which are similar to each other.

While asset pools are depreciated using the lowest rate for items in the pool, the item of depreciable property does not lose its individual identity. Therefore, repairs and maintenance are considered in relation to each asset in the pool, not the asset pool itself. The component approach applies from the 2008–09 income year. If a network approach has been used, the component approach must be used from the 2024–25 income year.

Law: IT07 ss [DB 68](#), [EE 6\(2B\)](#), [EE 7\(fc\)](#)

Last reviewed on 31 December 2025

Records required for depreciation purposes [¶13-650]

[¶13-650]

[Click to open document in a browser](#)

Although no explicit record-keeping requirements have been incorporated into the depreciation rules, persons are required to keep good records of the purchase and sale of business assets so that IR can check that deductions are correct. Records must be retained for at least 7 years after the end of the tax year to which they relate, unless the Commissioner has granted approval for records to be retained for a shorter time. See *Tax Information Bulletin ¶49-140 Vol 4, No 9*, Appendix, April 1993 at 3.

The depreciation records are commonly kept in schedule form. An example follows:

Asset	Date of Purchase	Opening Book Value @ 01/04/2013	Additions	Proceeds of sale	Profit (loss) on sale	Depreciation Rate	Months in use	Current year Depreciation	Original cost	Accumulated Depreciation 31/03/2014	Closing Book Value @ 31/03/2014
Furniture and Fittings											
Telephone system	01/04/10	1,311.00				36% DV	12	471.96	5,000.00	4,160.96	839.04
Facsimile	01/04/11	540.00				40% DV	12	216.00	1,500.00	1,176.00	324.00
Desk	01/04/12	458.00		200.00	(258.00)	8.5% DV	12	—	500.00	500.00	—
Mobile phone	01/04/13		1,000.00			67% DV	12	670.00	1,000.00	670.00	330.00
		2,309.00	1,000.00	200.00	(258.00)			1,357.96			1,493.04
Vehicles											
Mazda 323	01/04/12	23,800.00				30% DV	12	7,140.00	34,000.00	17,340.00	16,660.00
Nissan Skyline	01/09/13		10,000.00			30% DV	7	1,750.00	10,000.00	1,750.00	8,250.00
		23,800.00	10,000.00					8,890.00			24,910.00
Total Assets		\$26,109.00	\$11,000.00	\$200.00	(258.00)			\$10,247.96			\$26,403.04

Last reviewed on 31 December 2025